Context Matters: Charismatic Communication and Investor Reactions

Hamid Boustanifar* Abdolreza Nazemi† Mostafa Zamani‡

Abstract

This paper studies whether and how charismatic communication influences investor reactions. We develop a scalable, theory-based measure of managerial charisma grounded in charismatic leadership research and apply it to a large sample of earnings call transcripts. Using transformer-based embeddings, we quantify managers' use of charismatic tactics—such as storytelling, analogies, three-part lists, and contrasts—separately in prepared remarks and Q&A interactions. We show that charisma is not subsumed by conventional textual features but instead captures a distinct dimension of managerial communication. Its economic effects, however, depend critically on context. In prepared remarks, charisma is positively associated with market reactions, suggesting that it enhances the persuasiveness and clarity of managerial disclosure. In contrast, during Q&A—where investors expect precise and responsive answers—greater reliance on charismatic tactics predicts negative market reactions. Cross-sectional tests support this interpretation: the positive effects of charisma in prepared remarks attenuate following negative earnings news, while the negative effects of charisma in Q&A intensify when performance is weak and language is more complex. Collectively, the evidence shows that rhetorical style shapes investor beliefs, but its valuation consequences depend on whether it complements or substitutes for credible information.

Keywords: Charisma, earnings calls, textual analysis, large language models, LLM, management style, soft information, market reaction, charismatic leadership theory

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*EDHEC Business School. e-mail: hamid.boustanifar@edhec.edu.
†School of Economics and Management, Karlsruhe Institute of Technology. e-mail: nazemi@kit.edu.
‡School of Economics and Management, Karlsruhe Institute of Technology.

1 Introduction

Charismatic communication is widely viewed as a powerful tool of influence. Charisma is not merely an innate gift; it can be learned: experimental evidence shows that managers can be trained in charismatic communication, with measurable effects on how audiences perceive them (Antonakis et al., 2011, 2012). Consistent with this view, a substantial market exists for such training. Business schools offer executive-education programs that prepare managers to become charismatic leaders, and external advisers—including investor-relations consultancies and executive coaches—market instruction in charisma, notably for prepared remarks and analyst Q&A during earnings calls.[1]

While leadership scholars have long studied charisma, its determinants, and its effects on follower motivation, persuasion, and organizational performance (Antonakis et al., 2011, 2012; Jacquart and Antonakis, 2015; Thibodeau et al., 2017; Meslec et al., 2020; Tur et al., 2022; Antonakis et al., 2022), its role in capital markets remains largely unexplored. We take a first step toward systematically measuring charisma at scale across more than 120,000 earnings call transcripts and evaluating its effects on market reactions.

Research in the leadership literature identifies a set of nine verbal tactics—metaphors, rhetorical questions, stories and anecdotes, contrasts, three-part lists, expressions of moral conviction, expressions of collective sentiment, articulation of ambitious goals, and expressions of confidence in goal attainment—that can be learned and systematically deployed to enhance a speaker's impact (Antonakis et al., 2011, 2012). Evidence from both laboratory and field settings shows that these charismatic leadership tactics (CLTs) materially affect how audiences perceive and respond to a speaker: individuals trained in CLTs are viewed as more influential, trustworthy, and leader-like, and executives experience substantial increases in observer-rated leadership following such training (Antonakis et al., 2012, 2011). These effects arise not only from more favorable perceptions of the speaker but also from changes in how information is processed. For example, narratives enhance recall and comprehension (Bower, 1976), while metaphors and comparisons simplify complex ideas, evoke emotional responses, and improve retention (Charteris-Black, 2005; Mio et al., 2005). More broadly, these tactics shape judgment and belief formation by directing attention and interpretation (Thibodeau et al., 2017; Tur et al., 2022). Consistent with this, leadership research shows that CLTs are stronger predictors of perceived leadership, competence, and trustworthiness than conventional presentation skills, such as clear structure, articulation, accessible

[1] See, e.g., Berkeley's executive presence program (https://executive.berkeley.edu/programs/advanced-executive-presence-program); IR consultancies such as Sharon Merrill Advisors www.investorrelations.com; and executive coaches such as https://executivespeaking.net/.

language, speech tempo, and speaker comfort (Antonakis et al., 2012; Tur et al., 2022).

To investigate whether management charismatic language shapes investor reactions, we construct a theory-grounded measure of charismatic rhetoric based on these nine verbal tactics. Using sets of prototype sentences that reflect each tactic, we encode text with transformer-based sentence embeddings and measure the similarity between sentences in earnings calls and the corresponding tactic-specific prototypes. We then aggregate these similarities to construct a transcript-level measure of charisma, which we apply separately to the prepared presentation and the interactive Q&A segments of earnings calls.

We conduct several analyses to assess the validity and robustness of our measure. First, we provide illustrative examples showing that sentences receiving high charisma scores indeed contain identifiable charismatic tactics. Second, we design a controlled experiment in which we construct pairs of sentences that convey the same underlying meaning but differ in their use of charismatic tactics. We show that our measure assigns significantly higher scores to the versions employing these tactics, indicating that it captures rhetorical form rather than semantic content. Third, we demonstrate that our results are not sensitive to the choice of prototype sentences: replacing them with an independent set of prototypes, or iteratively omitting individual tactics, yields similar charisma scores and consistent results in our market reaction tests.

To better understand what our measure captures, we examine its relation to standard textual characteristics and firm attributes. We find that charisma is positively correlated with sentiment and readability and negatively correlated with uncertainty, with similar patterns across both the presentation and Q&A segments. In the Q&A section, charisma is also positively associated with measures of non-answer behavior (Barth et al., 2023; Boustanifar and Mansouri, 2026), consistent with managers relying more heavily on rhetorical framing when providing less direct responses. In addition, charisma tend to be higher in larger firms and those with higher book-to-market ratio. Importantly, however, all textual and firm characteristics as well as industry-by-year fixed effects explain only a limited share of the variation in charisma: they account for less than 7% of the variation in the presentation segment and up to 36% in the Q&A segment, indicating that a substantial portion of the charisma measure remain unexplained by these variables. This evidence suggests that our measure captures a distinct dimension of managerial communication—rhetorical style—rather than simply reflecting commonly studied textual features.

Next, we investigate the effects of charisma in the presentation section and the Q&A section on market reactions. We find that charisma has markedly different effects across the two settings. In the presentation segment, which reflects prepared and largely scripted communication, higher charisma is associated with a positive abnormal market reaction. A one-

standard-deviation increase in presentation charisma predicts an increase of approximately 18–19 basis points in three-day abnormal returns. In contrast, in the Q&A segment—where managers respond to analyst questions in real time—the same increase in charisma is associated with a negative market reaction of comparable magnitude. This sign reversal persists after controlling for sentiment, linguistic complexity, uncertainty, disclosure length, and measures of evasiveness.

We interpret these findings through the lens of context-dependent information processing. In prepared remarks, charismatic delivery may enhance the clarity, coherence, and persuasiveness of managerial narratives, thereby facilitating investor understanding and positively influencing beliefs. In contrast, in the Q&A setting—where investors expect precise, direct, and verifiable responses—greater reliance on rhetorical devices may be interpreted as a substitute for substantive information. In this setting, charisma may signal overconfidence, obfuscation, or a lack of precision, leading to a less favorable market response. Importantly, the negative effect of charisma in the Q&A segment is not explained by measures of (explicit or implicit) non-response or evasiveness (Barth et al., 2023; Boustanifar and Mansouri, 2026). This suggests that investors respond to more subtle forms of rhetorical behavior: even when answers are formally responsive, the use of charismatic tactics may be perceived as misaligned with the informational demands of the Q&A context.

We next examine factors that may moderate the asymmetric effect of charisma across the presentation and Q&A segments. Our interpretation suggests that investors evaluate rhetorical style in conjunction with the informational environment: charismatic communication is more likely to be rewarded when it complements credible information, but penalized when it appears to substitute for it. This leads to two predictions. First, the positive effect of charisma should attenuate when fundamentals are weak. Second, the negative effect of charisma in the Q&A should be amplified when communication is less precise or more difficult to interpret.

Consistent with these predictions, we find that the interaction between charisma and negative earnings surprises is negative in both the presentation and Q&A segments. In the presentation segment, the positive valuation effect of charisma disappears following negative earnings surprises. In the Q&A segment, where charisma is already negatively associated with market reactions, the effect becomes significantly more negative when earnings news is unfavorable, with the magnitude increasing substantially.

In addition, we find that linguistic complexity and forward-looking content do not moderate the effect of charisma in the presentation segment, but significantly amplify its negative impact in the Q&A segment. This pattern is consistent with the view that, in interactive settings where investors demand clarity and precision, the combination of complex or

forward-looking responses with charismatic rhetoric exacerbates concerns about the informativeness of managerial communication.

We show that our main results are robust to using alternative factor models as benchmarks for constructing abnormal returns, as well as to different event windows around the earnings call. We also demonstrate that our findings are not sensitive to the choice of prototype sentence sets. In addition, while our baseline regressions include industry-by-year fixed effects, the results remain robust when using industry-by-quarter or firm-by-year fixed effects. In the specifications with firm-by-year fixed effects, identification comes from within-firm variation in charismatic rhetoric across quarters within the same year. As a result, the findings are unlikely to be driven by time-invariant firm-specific characteristics, whether observable or unobservable.

Our paper contributes to several strands of literature. First, it contributes to the literature on managerial disclosure by highlighting how the informational role of communication varies across settings. Prior work emphasizes that the Q&A section is particularly informative for investors. For example, Frankel et al. (1999) and Bushee et al. (2018) show that the interactive nature of the Q&A segment elicits incremental information beyond prepared remarks, while Lee (2016) and Mayew and Venkatachalam (2012) document that linguistic and vocal cues in the Q&A are strongly associated with market reactions. This literature generally interprets the Q&A as revealing more spontaneous and less managed information relative to the scripted presentation. Consistent with this view, much of the recent work has focused on the Q&A segment when studying managerial communication and its capital market implications (Gow et al., 2021; Barth et al., 2023; Boustanifar and Mansouri, 2026). We complement this literature by showing that the same communication attribute—charisma—can be interpreted very differently across these two settings. While prior work focuses on the informational advantage of the Q&A, we show that rhetorical style interacts with the communicative environment, such that the same attribute can generate opposite market responses when used in prepared presentations versus in the interactive Q&A segment.

Moreover, our paper contributes to the literature on soft information and disclosure by showing that charismatic style is not inherently value-enhancing, but instead depends on how it interacts with investors' expectations about information provision. Prior studies document that managers can strategically shape disclosures and, in some cases, obfuscate poor performance through language (e.g., Li, 2008; Bushee et al., 2018; Huang et al., 2018; DeHaan et al., 2015). We provide complementary evidence that, even in the absence of explicit obfuscation or implicit evasiveness (Barth et al., 2023), rhetorical style itself can influence investor reactions. In particular, charismatic communication is rewarded in settings where

narrative framing is expected, but penalized in settings where investors demand precision and directness. These findings highlight that the valuation of managerial communication depends critically on context rather than style alone.

Finally, the paper adds to the growing text-as-data literature and, more specifically, to the body of work in finance and accounting that uses earnings call data to study managerial communication and disclosure. Prior research has examined various dimensions of communication, including tone and sentiment, linguistic complexity, deception, credibility, and evasive responses (e.g., Matsumoto et al., 2011; Mayew and Venkatachalam, 2012; Price et al., 2012; Hollander et al., 2012; Larcker and Zakolyukina, 2012; Brochet et al., 2016; Lee, 2016; Bushee et al., 2018; Gow et al., 2021; Barth et al., 2023; Boustanifar and Mansouri, 2026).[2] We extend this literature by introducing a novel dimension—charismatic rhetoric—grounded in leadership theory and measured using modern natural language processing techniques. To the best of our knowledge, we are among the first to systematically quantify charisma in managerial communication at scale.

2 Data and main variables

Our main data are drawn from Capital IQ Transcripts (via the WRDS platform), which provide transcripts of earnings conference calls. Earnings conference calls offer a unique and particularly suitable setting for studying managerial communication. To the best of our knowledge, they represent the only setting in which top executives of a broad cross-section of public firms communicate directly with analysts and investors on a regular and standardized basis, allowing for systematic and comparable measurement across firms and over time. In addition, these calls consist of two distinct components—the prepared presentation and the interactive Q&A segment—which capture different facets of managerial communication: the former reflects more structured and scripted messaging, while the latter reveals how managers respond to questions and convey information in real time. This distinction allows us to construct and compare separate measures of managerial charisma across these two settings. Reflecting these advantages, a large and growing literature in top finance and accounting journals has relied on earnings call data to measure various aspects of managerial communication and disclosure (e.g., Matsumoto et al., 2011; Mayew and Venkatachalam, 2012; Price et al., 2012; Hollander et al., 2012; Larcker and Zakolyukina, 2012; Brochet et al., 2016; Lee, 2016; Bushee et al., 2018; Gow et al., 2021; Barth et al., 2023; Boustanifar

[2]More broadly, an increasing number of studies use corporate textual data to measure difficult-to-observe firm-level characteristics, such as corporate culture (Li et al., 2020), political risk (Hassan et al., 2019), climate change exposure (Sautner et al., 2023), brand value (Boustanifar and Kang, 2025), biodiversity risk (Giglio et al., 2026), and intangible liabilities (Boustanifar and Verriest, 2026).

and Mansouri, 2026).

After constructing our text-based measures from the earnings call transcripts, we merge the data with quarterly accounting variables from Compustat. We impose the standard six-month lag to ensure that all accounting information is publicly available as of the earnings call date. We further merge the data with CRSP to obtain stock market variables.

Dependent variable. Our main dependent variable is the cumulative abnormal return (CAR) around the earnings call date. We examine whether, and how, charismatic speech in the presentation and Q&A sections of the calls affects market reactions. We compute CARs using the Carhart four-factor model (Carhart, 1997) as the benchmark. We also report results based on the Fama–French three-factor model (Fama and French, 1993) and the five-factor model (Fama and French, 2015).

Control variables. We include a set of firm-level and textual controls to account for factors that may confound the relation between managerial charisma and market outcomes. Our firm-level controls follow the asset pricing literature and include *Firm Size* (log market capitalization), *Book-to-Market* (book-to-market ratio), *Momentum* (cumulative return over months $t-12$ to $t-2$ relative to the event date), and *Earnings Surprise* (the standardized difference between reported earnings and the analyst consensus forecast).

To examine the relation between charisma and other commonly used textual characteristics, and to isolate the effect of charisma from other linguistic features of earnings calls when analyzing market reactions, we include the following textual controls. *Sentiment* (FinBERT-based sentiment; Huang et al., 2023), *Uncertainty* (the share of uncertainty words from Loughran and McDonald, 2011), *Readability* (Gunning Fog index), *Length* (log word count), and *Non-Answer* (a measure of managerial evasiveness following Barth et al., 2023). All textual measures are constructed separately for the presentation and Q&A sections, except for *Non-Answer*, which by construction is derived from the Q&A section. In each specification, we use the corresponding section-specific measures, matching the charisma variable under consideration.

We winsorize all continuous variables at the 1st and 99th percentiles within each year–quarter. In all regressions, right-hand-side variables are standardized to have zero mean and unit variance within each year–quarter, so that coefficients can be interpreted as basis-point effects per one standard-deviation increase.

Overall, our sample spans the period 2010–2024 and includes 5,146 unique firms and 121,326 firm-quarter observations.

3 Measuring Charisma

This section details the construction of our measure of managerial charisma based on earnings call transcripts. Our approach is grounded in the management and leadership literature, which identifies specific rhetorical tactics associated with charismatic communication. We apply modern natural language processing techniques to quantify these rhetorical features and construct separate charisma measures for the presentation and Q&A segments.

3.1 Charismatic leadership theory

Our measure is based on nine verbal charismatic leadership tactics (CLTs) that have been identified, validated, and widely used in the leadership literature (Antonakis et al., 2011; Jacquart and Antonakis, 2015; Meslec et al., 2020; Tur et al., 2022; Antonakis et al., 2022). These tactics include: (i) metaphors, which simplify messages and enhance recall; (ii) rhetorical questions, which create intrigue and direct attention to key ideas; (iii) stories and anecdotes, which evoke imagery, facilitate recall, and convey a clear moral; (iv) contrasts, which delineate desirable versus undesirable actions; (v) three-part lists, which convey completeness and reinforce arguments; (vi) expressions of moral conviction, which emphasize normative justification and what is right; (vii) expressions of collective sentiment, which reflect cognitive empathy and foster identification with the speaker; (viii) the articulation of ambitious goals, which enhances perceived competence and directs effort; and (ix) expressions of confidence in goal attainment. A more detailed discussion and examples of these tactics across contexts, including among business leaders, can be found in Antonakis et al. (2012).[3]

Evidence from both laboratory and field settings demonstrates that charisma can be developed. In particular, individuals trained in CLTs are perceived as more influential, trustworthy, and leader-like (Antonakis et al., 2012). Consistent with this, Antonakis et al. (2011) show that, following training in these tactics, executives experience substantial increases in observer-rated leadership, with ratings rising by approximately 60%.

CLTs are also stronger predictors of perceived leadership, competence, and trustworthiness than conventional presentation skills, such as clear structure, articulation, accessible language, speech tempo, and speaker comfort (Antonakis et al., 2012). Their effectiveness operates not only through the inferences audiences draw about the speaker, but also through

[3]The leadership literature also identifies three nonverbal charismatic signals related to gestures, facial expressions, and vocal tone. However, prior work shows that verbal and nonverbal signals are positively correlated (Antonakis et al., 2011). Moreover, using the data from Antonakis et al. (2011), Tur et al. (2022) disentangle verbal and nonverbal components and find that only verbal charisma consistently predicts outcomes. Consistent with this evidence—and given that transcripts capture verbal communication—we focus on verbal signals.

their influence on how information is processed (Tur et al., 2022). For example, narratives enhance both recall and comprehension of messages (Bower, 1976). Similarly, metaphors and comparisons rely on imagery to simplify complex ideas, evoke emotional responses, and improve retention (Charteris-Black, 2005; Mio et al., 2005). More broadly, such rhetorical devices can shape information processing and, ultimately, influence judgment and belief formation (Thibodeau et al., 2017).

3.2 Measuring charismatic leadership tactics (CLTs)

To operationalize each CLT dimension, we construct a set of prototype sentences that express the relevant tactic. These prototypes are drawn from the earnings-call setting so that the language matches the domain in which the measure is applied. At the same time, within each tactic we use sentences with varied wording and from different industries. This design ensures that the shared rhetorical feature is salient while reducing dependence on any single topic, phrase, or example.

Examples of prototype sentences include the following: for metaphors, *"We're going to measure twice and cut once. We're figuring out exactly how we're going to enter this market"*; for contrasts, *"Many times, we've said prototypes are easy, but production is hard"*; and for three-part lists, *"What we tend to find is that the perks that do well for us are those that are exclusive to us, that offer maximum savings, and that provide a strong value proposition for the customer"*. We provide the full set of prototype sentences in Appendix Table A1. We use an independent set of prototype sentences in robustness checks.

We then encode the prototype sentences using sentence embeddings and compute, for each tactic, the average embedding across its prototypes. This average embedding serves as the tactic-specific prototype vector. For each sentence in an earnings call, we compute its similarity to the prototype vector for each tactic and use these similarities to construct tactic-level charisma scores. Intuitively, sentences that employ a given charismatic tactic should lie closer in embedding space to the corresponding prototype than sentences that do not. This approach allows us to capture rhetorical content in a way that is flexible to linguistic variation and less dependent on exact keywords than dictionary-based methods.

Because sentence embeddings may reflect both rhetorical form and substantive content, our procedure is designed to minimize content dependence. Specifically, prototype sentences span varied substantive contexts within the earnings-call domain, so that the common element across prototypes is the rhetorical tactic rather than the topic. A related concern with seed- or prototype-based measurement is sensitivity to the specific prototypes chosen, as in traditional dictionary-based methods. In Section 3.4, we present a series of validation tests

showing that our results are robust to the choice of prototype sentences.

3.3 Details on charisma scoring pipeline

The scoring pipeline maps raw transcript text into a single charisma score for each earnings call segment in four steps.

In the first step, each sentence is mapped to a 1,024-dimensional vector using a pre-trained sentence transformer.[4] A sentence transformer encodes the full sentence into a dense vector representation that captures its contextualized semantic meaning. Unlike dictionary-based approaches, which assign fixed scores to individual words regardless of context, or static embeddings such as Word2Vec, which assign a single vector to each word, transformer-based models capture compositional meaning at the sentence level. In particular, the resulting embedding reflects not only which words appear in a sentence, but also how they are combined. This feature is important in our setting, because charismatic rhetoric is often expressed through sentence-level constructions rather than isolated keywords.

In the second step, for each sentence and for each CLT tactic, we compute the similarity between the sentence embedding and the prototype vector for that tactic, defined as the average embedding of the tactic's prototype sentences. We then assign each sentence to the tactic with which it has the highest similarity and retain only this maximum similarity score. This winner-take-all assignment ensures that each sentence contributes to at most one rhetorical dimension, consistent with the idea that individual sentences typically express a single dominant charismatic tactic.[5]

In the third step, we aggregate sentence-level scores to the transcript level, separately for the presentation and Q&A segments. A typical earnings call contains several hundred sentences, the majority of which are informational or procedural. Because charismatic rhetoric is deployed selectively, a simple average across all sentences would dilute the signal by assigning substantial weight to non-rhetorical content.

To address this issue, for each transcript we retain the top 5% of sentences based on their assigned charisma scores (i.e., those above the 95th percentile) and compute their mean within each tactic. This approach focuses on the most salient rhetorical expressions while preserving the distinction across tactics. The percentile-based threshold also scales naturally with transcript length: shorter transcripts contribute fewer sentences than longer transcripts, while maintaining a constant proportion, thereby avoiding the mechanical length dependence

[4] Specifically, `intfloat/multilingual-e5-large-instruct`, an advanced model trained on more than one billion text pairs using a contrastive learning objective on general-purpose web text.

[5] We also consider an alternative specification that retains all tactic-level similarity scores rather than assigning each sentence to a single dimension. The results are quantitatively similar but are not reported for brevity.

that would arise from selecting a fixed number of sentences.[6] Within each tactic, we use the mean of the selected sentences as the aggregation operator, as these scores capture variation in the intensity of the same underlying rhetorical dimension.

In the fourth step, we construct the composite charisma score for each segment by averaging the transcript-level tactic scores after standardizing each tactic to have mean zero and standard deviation one. Averaging across tactics is appropriate at this stage because the unit of analysis is the transcript segment rather than the individual sentence, and a given segment may contain multiple charismatic tactics. Standardization ensures that no single tactic dominates the composite measure solely due to differences in scale. We note that the results remain qualitatively similar when we use the maximum across tactic scores as an alternative cross-tactic aggregation rule.

Overall, the scoring procedure involves a sequence of empirical design choices, including the embedding model, the similarity metric, the within-transcript aggregation rule, and the cross-tactic aggregation rule. In the main specification, we adopt choices that align closely with the theoretical structure of charismatic rhetoric. Reassuringly, the results are qualitatively robust to a range of alternative implementations. The main exception arises when the share of retained sentences in the third step exceeds 20%, in which case statistical power declines noticeably. This pattern is consistent with the fact that most sentences in earnings calls are not charismatic, so expanding the retained set introduces substantial non-rhetorical noise into the measure.

We apply this pipeline independently to each earnings call segment, producing two composite scores per firm-quarter: *Presenter Charisma*, based on the management presentation, and *Answer Charisma*, based on management responses in the Q&A. Both measures use the same prototype sentences, embedding model, and aggregation parameters; they differ only in the transcript segment to which the pipeline is applied. Accordingly, any difference in market reactions across the two measures reflects differences in the context in which charismatic rhetoric is deployed, rather than differences in how it is measured.

3.4 Validation

Illustrative examples. An intuitive approach to validation is to examine representative examples. In this spirit, we inspect sentences that receive high scores on each individual CLT dimension and examine whether they reflect the corresponding rhetorical tactic.

The high-scoring examples align with the CLT taxonomy described in Section 3.1. For instance, a sentence with a high score on three-part lists is *"Our expected free cash flow*

[6] Our results are not sensitive to the choice of cutoff. Using thresholds between the 90th and 98th percentiles yields qualitatively similar results across all main specifications.

generation gives us confidence in our ability to continue investing in organic growth, pursue strategic acquisitions, and return capital to shareholders.". A sentence with a high score on metaphor is *"the resources we're going to use, the trump cards we think we have in our hand and the levers we're going to be using to go forward..."*. A high-scoring example of stories and anecdotes is *"From a company that was teetering on the edge of second bankruptcy to where we are today, I could not be prouder."*. For contrasts, a representative example is *"we are an earnings per share driven company, not a balance sheet driven company."*

We also find that sentences with high scores on moral conviction, collective sentiment, ambitious goals, and confidence in goal attainment are similarly intuitive. Examples include *"...provide significant value for our shareholders as well as advance our mission to make the world healthier"* for moral conviction, *"I really want to extend my gratitude to our dedicated team, our customers, and our shareholders for their unwavering support."* for collective sentiment, *"We are expecting to accelerate revenue growth by nearly 100 basis points off of what was already a really strong year in 2021"* for ambitious goals, and *"We absolutely remain confident in our ability to deliver superior value to our customers and ultimately, our shareholders."* for confidence in goal attainment.

Overall, these examples provide qualitative support that the tactic-level scores capture the intended charismatic rhetorical features.

Minimal-pairs test. To further assess construct validity, we conduct a minimal-pairs test designed to isolate rhetorical form from propositional content. For each of the nine CLTs, we construct seven matched sentence pairs in which one version employs the relevant rhetorical device (e.g., a metaphor, a three-part list, or an expression of confidence) and the other conveys the same informational content in a neutral paraphrase, yielding 63 pairs in total. Because the two sentences within each pair are matched in meaning but differ in their use of charismatic tactics, any systematic difference in charisma scores can be attributed to rhetorical form rather than semantic content.

Overall, across all tactics, sentences that employ charismatic tactics receive significantly higher charisma scores than their neutral counterparts (t-statistic = 6.36). This result indicates that the embedding-based measure responds to rhetorical form largely independently of topical content. The full set of 63 sentence pairs, together with the per-pair difference in charisma scores, is reported in Appendix Table A3.

Discriminant validity. While the minimal-pairs test shows that our measure captures rhetorical form distinct from semantic content, charismatic communication is likely to be correlated with general textual features such as sentiment, linguistic complexity, or trans-

parency. The key question is the extent to which variation in our charisma measure can be explained by such features.

To assess this, we examine the relation between our charisma scores and standard text-based measures, including sentiment, uncertainty, readability, and text length. As discussed in Section 5.1, although charisma is moderately correlated with these textual measures and certain firm-level characteristics, the majority of its variation remains unexplained by observable textual attributes, firm characteristics, and industry-by-time fixed effects. This evidence indicates that charisma captures a distinct dimension of managerial communication that is not reducible to commonly studied textual features or firm characteristics, and is not subsumed by time-varying industry-level factors.

Taken together, these validation exercises provide evidence that our measure captures charismatic rhetorical style and is not driven by other somewhat related textual features.

4 Descriptive Statistics

Table 1 reports descriptive statistics for the main variables. All continuous variables are winsorized at the 1st and 99th percentiles within each year-quarter. In the regression analyses, all continuous variables are standardized to have zero mean and unit variance.

[Insert Table 1 about here]

Table 2 reports pairwise Pearson correlations. Panel A shows the correlations for textual variables constructed from the presentation section and firm-level variables. Panel B shows similar table but using textual variables constructed from the Q&A section. Panel C of the table shows the cross correlations between textual variables constructed from the presentation and the Q&A sections.

Panel A and B show that across both presentation and Q&A sections, charisma is positively correlated with sentiment (around 0.4), fog (0.2 to 0.4) and length (0.3) and negatively correlated with *Uncertainty* (-0.2). Other correlations are very low. These results suggest that charisma is related to, but not reducible to, common textual metrics—a result confirmed in Section 5.1.

Panel C shows that the charisma measures based on the presentation and Q&A sections have a correlation of 0.52. This suggests that while charismatic rhetoric in the two segments is related, it captures distinct aspects of managerial communication, consistent with the difference between prepared remarks and spontaneous responses.

[Insert Table 2 about here]

Appendix Table A4 reports the mean of standardized charisma by industry, separately for the Presentation and Q&A segments. Industry means span roughly two standard deviations. The rankings are not stable across segments: an industry that scores high in Presenter charisma does not necessarily score high in Answer charisma. Apparel, for instance, ranks among the top five in the Answer segment but falls to the middle of the Presenter distribution. We note that all our regressions include industry-by-year fixed effects, so identification comes from within-industry, within-year variation in the use of charismatic communication.

Figures 1 and 2 complement this industry-mean evidence by reporting the full within-industry distribution of standardized charisma for each Fama-French 49 industry, separately for the Presentation and Q&A segments. The within-industry spread substantially exceeds the range of industry medians, indicating that the bulk of variation in charisma arises within rather than across industries.

5 Empirical Analysis and Results

This section presents the main empirical findings. We begin by examining the correlates of charisma. Next, we investigate market reactions to charismatic communication in both the presentation and Q&A sections. Finally, we conduct moderator analyses to identify boundary conditions and assess how they amplify the main effects across the two segments of earnings calls.

5.1 What correlates with charisma?

In this section, we examine the textual and firm-level correlates of charisma. This analysis serves two purposes. First, as discussed earlier, it provides a test of discriminant validity by assessing whether our charisma measure captures a construct distinct from standard textual attributes such as sentiment, linguistic complexity, and verbosity. Second, it identifies the types of firms and managerial contexts in which charismatic communication is more prevalent.

To this end, we quantify the extent to which variation in charisma can be explained by observable textual features and firm characteristics. Establishing that charisma is not fully subsumed by these factors is important for interpreting our subsequent results as reflecting a distinct communication channel rather than a repackaging of existing text-based measures. In addition, this analysis informs our empirical design by highlighting the key controls that must be included in subsequent regressions.

We examine the relation between our charisma scores and standard text-based measures,

including sentiment, uncertainty, readability, and text length. In the Q&A section, we additionally include a measure of *Non-Answer*, which captures the extent to which management responses are indirect or fail to directly address analysts' questions.[7]

Table 3 reports the results. Panel A presents estimates for the presentation section, and Panel B for the Q&A section. Across both panels, charisma is positively associated with sentiment and readability, and negatively associated with uncertainty. The relation between charisma and text length is positive but not consistently statistically significant. These patterns are broadly similar across the two segments.

In the Q&A section, we also document a positive association between *Non-Answer* and charisma. This finding is consistent with a distinction between rhetorical style and informational content: when managers provide less direct responses—particularly in response to difficult or sensitive questions—they may rely more heavily on rhetorical devices (e.g., narratives, framing, or confident tone) to shape audience perceptions.

In terms of firm-level variables, charismatic communication is more prevalent among larger firms and those with higher book-to-market ratios (Columns 2 and 3). We also find a weak positive association between past returns (momentum) and charisma in the presentation section, whereas the association is negative in the Q&A section. These correlations become insignificant, however, in specifications with firm-by-year fixed effects.

Despite these correlations, the charisma measure retains substantial independent variation. In the presentation section, the full set of textual controls explains less than 7% of the variation in charisma, whereas in the Q&A section it explains up to 36%. Thus, a large share of the variation in charisma is not captured by standard textual characteristics.

The higher explanatory power in the Q&A section likely reflects differences in the production of language across the two segments.[8] Prepared remarks are typically scripted and edited, which attenuates the covariance among linguistic features. In contrast, Q&A responses are generated in real time and are more tightly linked to the underlying informational environment (e.g., question difficulty or uncertainty), leading textual attributes such as tone, clarity, and rhetorical style to co-move more strongly. As a result, standard text-based measures explain a larger fraction of the variation in charisma in this setting. Nevertheless, even in the Q&A section, the majority of the variation remains unexplained, indicating that charisma captures a distinct dimension of managerial communication.[9]

[7] As shown in Appendix Table A6, excluding *Non-Answer* has no material effect on the results. We retain it given its conceptual link to rhetorical style and prior evidence that it influences media coverage, investor behavior, and market outcomes (Barth et al., 2023; Boustanifar and Mansouri, 2026).

[8] This difference is not driven by the inclusion of the additional *Non-Answer* variable in the Q&A section. Excluding this variable yields similar results (see Panel A of Appendix Table A6).

[9] In all empirical specifications, we control for these textual and firm characteristics to isolate the effect of charismatic communication on the outcome variables.

[Insert Table 3 about here]

Taken together, the results show that while charisma is systematically related to standard textual attributes, it captures a distinct dimension of managerial communication. A substantial share of its variation remains unexplained by common textual measures and firm characteristics, supporting its interpretation as a separate communication channel rather than a repackaging of existing constructs.

5.2 Market reaction to charisma

We estimate the following specification separately for each segment:

$$\text{CAR}_{i,t}[-1,+1] = \alpha + \beta\,\text{Charisma}_{i,t} + \gamma'\mathbf{X}_{i,t} + \delta'\mathbf{T}_{i,t} + \mu_{jt} + \varepsilon_{i,t} \tag{1}$$

where $\text{CAR}_{i,t}[-1,+1]$ is the three-day cumulative abnormal return around the earnings call date for firm i in quarter t, computed using the Carhart (1997) four-factor model, with factor loadings estimated over the $[-210,-30]$ trading-day window. $\mathbf{X}_{i,t}$ denotes firm-level controls (size, book-to-market, momentum, and earnings surprise), $\mathbf{T}_{i,t}$ denotes textual controls (FinBERT sentiment, uncertainty, readability, length, and non-answer evasion), and μ_{jt} denotes industry-by-year fixed effects, where j indexes Fama-French 49 industries and t indexes years. We also report additional results using industry-by-quarter and firm-by-year fixed effects. Standard errors are two-way clustered by firm and time (Petersen, 2009). All right-hand-side variables are winsorized and standardized within each year-quarter, so the coefficients can be interpreted as the effect, in basis points, of a one-standard-deviation change in the corresponding variable.

Table 4 reports the results under a progressive specification design. Panel A presents results for the presentation section, while Panel B reports results for the Q&A section. Both panels use identical regression specifications and differ only in the text from which the charisma and textual measures are constructed. Column (1) includes only textual controls, while Column (2) adds firm-level controls. Both specifications include industry-by-year fixed effects. Column (3) includes all controls and adds industry-by-quarter fixed effects, while Column (4) further includes firm-by-year fixed effects. Identification in Column (4) therefore comes from within-firm variation in charisma within a given year. In Panel B, we additionally include the *Non-Answer* measure, which captures the extent to which management responses are indirect or fail to directly address analysts' questions and is not applicable to the presentation section.

The results in Panel A of Table 4 show that charismatic delivery in prepared remarks

predicts higher announcement returns, and the effect is stable across specifications. After controlling for textual and firm characteristics, as well as industry-by-quarter fixed effects (Column (3)), a one-standard-deviation increase in presentation charisma is associated with a 19 basis point increase in abnormal returns. This is economically sizable given that the average abnormal return in our sample is 4 basis points.

The estimated effect is substantially larger (74 basis points) in Column (4), which includes firm-by-year fixed effects. This specification absorbs time-invariant firm characteristics and common shocks within a firm-year, so identification comes from within-firm changes in charisma across quarters. The larger coefficient therefore suggests that increases in presentation charisma relative to a firm's own baseline are associated with stronger market reactions. The increase in magnitude is also consistent with the presence of cross-sectional heterogeneity that attenuates the baseline estimates.

[Insert Table 4 about here]

Because the specification controls for standard textual characteristics (e.g., sentiment, readability, uncertainty, and length), as well as firm fundamentals and earnings news, the results are not driven by these observable factors. Instead, they point to a distinct role for rhetorical style in shaping investor reactions. These findings are consistent with the idea that the presentation segment, which primarily reflects management's prepared narrative, provides a setting in which charismatic delivery—such as framing strategy, articulating goals, and expressing confidence—can positively influence investor perceptions and is positively associated with market reactions.

Panel B of Table 4, which examines the effect of charisma in the Q&A section, shows results that contrast sharply with those in Panel A. Specifically, we find a negative and statistically significant association between charismatic communication in the Q&A and subsequent market reactions. A one-standard-deviation increase in Q&A charisma is associated with an 18 basis point decrease in abnormal returns (Column (3)). In Column (4), which includes firm-by-year fixed effects, the effect is attenuated to 12 basis points. These findings are consistent with the idea that, in interactions with analysts, investors expect more precise and direct responses. After controlling for standard textual characteristics (e.g., sentiment, uncertainty, and length), higher levels of charismatic rhetoric in the Q&A may be interpreted as a signal of evasiveness or lack of precision, leading to a less favorable market response.

Importantly, these results hold even after controlling for the *Non-Answer* measure proposed in the literature, which captures explicit forms of evasiveness such as failing to directly address the question. This suggests that the negative association is not driven by standard forms of non-response. Instead, the evidence is consistent with a more subtle form of rhetor-

ical behavior, whereby managers provide answers that are formally responsive but rely on framing, narrative, or expressions of confidence rather than precise or verifiable information. In this context, higher levels of charismatic rhetoric may be interpreted by investors as a lack of precision or an attempt to deflect from the substance of the question. Together with the results in Panel A, this suggests that the market evaluates charismatic communication differently depending on the context in which it is delivered.

To verify that the sign reversal across the two segments is not driven by the inclusion of *Non-Answer* in Panel B, Panel B of Appendix Table A6 re-estimates Panel B of Table 4 without this control. The coefficient on Q&A charisma remains negative, similar in magnitude, and statistically significant, indicating that the sign reversal reflects the rhetorical content of Q&A responses rather than the inclusion of the *Non-Answer* measure.

The asymmetric effect of charismatic communication across the two contexts, reported in Table 4 are also robust when we use both the presentation and Q&A charisma measures, along with the textual controls for both sections, in the regressions; see Appendix Table A5.

We emphasize that the documented asymmetry is not easily explained by common textual features. The specifications control for sentiment, uncertainty, readability, length, and explicit non-response behavior, yet the effect differs in sign across the presentation and Q&A segments. Any alternative explanation would therefore need to account for both the presence and the direction of the effect across contexts. In subsequent sections, we show that this asymmetry also varies systematically with other economic and textual moderators, providing additional support for our interpretation.

5.3 Heterogeneity in the effect of charisma

In the previous section, we show that charismatic communication in the presentation segment is associated with a positive market reaction, whereas it is associated with a negative market reaction in the Q&A segment. These findings suggest that the market evaluates charismatic rhetoric differently across contexts. In the presentation, which is typically prepared and one-directional, narrative framing and rhetorical delivery appear to be rewarded. In contrast, in the Q&A segment—where analysts ask specific questions and expect precise responses—charismatic rhetoric is associated with a less favorable market reaction. This pattern is consistent with the idea that the effectiveness of rhetorical communication depends on the informational environment in which it is delivered. In this section, we examine whether these effects vary systematically with economic conditions and other textual features by studying moderator effects.

5.3.1 Earnings surprise

Our primary hypothesis focuses on the moderating role of earnings surprises. In the presentation segment, we expect the positive effect of charismatic communication to be stronger following positive earnings surprises, when investors may be more receptive to management's narrative framing. Conversely, when earnings surprises are negative, investors may be less responsive to rhetorical delivery. To test this hypothesis, we construct an indicator for negative earnings surprises, *Neg. Surprise*, and interact it with the charisma measure.[10]

Table 5 (column 1 for presentation and column 4 for Q&A) provides strong support for this hypothesis. Column (1) shows a negative and statistically significant coefficient on the interaction term. The magnitude of this interaction (-0.177) is comparable in absolute value to the baseline effect of charisma (0.195), implying that the positive effect of charisma largely disappears when earnings surprises are negative. In other words, when fundamentals are weak, rhetorical delivery in prepared remarks appears to be less effective in shaping investor reactions.

[Insert Table 5 about here]

We next examine whether a similar moderating pattern arises in the Q&A segment. If charismatic communication is interpreted as a negative signal in this context, we would expect this effect to be amplified following negative earnings surprises. This is consistent with investors interpreting charismatic responses as a substitute for precise information when uncertainty about fundamentals is higher. Table 5 Column (4) provides support for this prediction. The interaction term is negative and statistically significant, with a magnitude comparable to the baseline effect, indicating that the negative association between charisma and market reaction is substantially stronger when earnings surprises are negative.

These heterogeneous effects also provide additional support for the underlying mechanism. In particular, any alternative explanation for the baseline findings would need to account not only for the asymmetry in average effects—namely, the positive association between charisma and market reactions in the presentation segment and the negative association in the Q&A—but also for how these effects vary systematically with earnings surprises. Specifically, such an explanation would need to rationalize why the positive effect of charisma in the presentation attenuates when earnings surprises are negative, while the negative effect of charisma in the Q&A becomes more pronounced under the same conditions. The fact that both patterns align with the proposed mechanism—where the effectiveness of rhetorical

[10] Our results are qualitatively similar when using a continuous measure of earnings surprises. We use an indicator specification for ease of interpretation, and apply this approach consistently across all moderator variables in this section.

communication depends on the informational environment—provides further support for our interpretation.

5.3.2 Linguistic complexity

We examine whether the effect of managerial charisma varies with the linguistic complexity of the discourse, proxied by the Fog index. Linguistic complexity can shape how effectively charismatic cues are processed by investors. In relatively structured settings such as the presentation section, where information is prepared and expectations are clearer, higher complexity may not materially interfere with the interpretation of charismatic delivery. In contrast, the Q&A section is more spontaneous and information-rich, requiring investors to process nuanced and often less scripted responses in real time. In this setting, greater linguistic complexity may hinder comprehension and amplify skepticism, thereby exacerbating the potential negative effect of charisma if it is perceived as obfuscating rather than clarifying.

Consistent with this intuition, in Column (2) of Table 5 we find that the interaction between charisma and linguistic complexity is not significant in the presentation section. However, in the Q&A section (Column 5), the interaction is negative and statistically significant, indicating that higher linguistic complexity strengthens the negative association between charisma and market reactions.

5.3.3 Forward-looking statements

Finally, we examine whether the effect of charismatic communication varies with the forward-looking intensity of managerial speech. Forward-looking statements are inherently more uncertain and less verifiable, yet they are among the most value-relevant disclosures, increasing the importance of how such information is communicated.

In the Q&A segment, where analysts seek specific and precise answers, we expect the negative association between charisma and market reactions to be stronger when the discussion is more forward-looking. Forward-looking topics are among the most value-relevant aspects of the interaction, and investors place greater weight on clear and direct information in this setting. As a result, the use of charismatic rhetoric in response to forward-looking questions may be interpreted as a substitute for precise or substantive answers, leading to a more negative market response.

In contrast, in the presentation segment, the context and expectations differ: communication is typically prepared, one-directional, and designed to provide a coherent narrative about both past performance and future prospects. In the previous section, we document a positive average effect of charisma in this setting and interpret it as reflecting the persuasive

role of narrative framing in a one-directional communication environment. Under this interpretation, charismatic tactics influence investor perceptions at a general level, rather than through specific pieces of information. As a result, we do not expect the effect of charisma to vary systematically with whether the content is forward-looking or backward-looking.

Table 5 Columns (3) and (6) report the results. In the presentation segment (Column 3), the interaction between charisma and forward-looking intensity is small and statistically insignificant, suggesting that the effect of charisma does not vary meaningfully with the extent of forward-looking content in prepared remarks. In contrast, in the Q&A segment (Column 6), the interaction term is negative and statistically significant, indicating that the negative association between charismatic communication and market reactions becomes stronger when responses are more forward-looking.

We note that these results are robust to the inclusion of industry-by-quarter fixed effects (Appendix Table A7) and firm-by-year fixed effects (Appendix Table A8).

Taken together, the heterogeneity results provide strong and consistent support for our interpretation of how charismatic communication is evaluated across contexts. In the presentation segment, the positive effect of charisma is largely stable and attenuates only when fundamentals are weak, consistent with a setting in which rhetorical delivery enhances a broadly receptive narrative but is less effective when underlying information is unfavorable. In contrast, in the Q&A segment, the negative effect of charisma is systematically amplified in environments where investors' demand for precise and informative responses is greater—namely, when earnings surprises are negative, linguistic complexity is high, or discussions are more forward-looking. These patterns are difficult to reconcile with alternative explanations based solely on generic textual features and instead point to a context-dependent interpretation of rhetorical style: charismatic communication is rewarded when it complements narrative framing, but penalized when it is perceived as substituting for clarity and substantive content.

6 Further Results and Robustness Checks

6.1 Sensitivity to factor model and event window

The market reactions reported in Table 4 are based on the Carhart four-factor model. A natural question is whether the results are sensitive to the choice of asset pricing model. To address this, we consider alternative specifications based on the Fama-French three-factor (Fama and French, 1993) and five-factor (Fama and French, 2015) models. In addition, our baseline results use a three-day event window of $[-1, +1]$ around the earnings call. We

examine the robustness of the findings to alternative event windows, specifically $[0, +1]$ and $[0, +2]$.

Table 6 reports the estimated charisma coefficients across the three asset pricing models (Fama-French three-factor, Fama-French five-factor, and Carhart four-factor) and the three event windows ($[-1, +1]$, $[0, +1]$, and $[0, +2]$). All specifications include firm-level and textual controls, as well as industry-by-year fixed effects. Panel A presents results for the presentation section, while Panel B reports the corresponding results for the Q&A section.

[Insert Table 6 about here]

Across all specifications, the results are robust in both magnitude and statistical significance, indicating that the main findings are not sensitive to the choice of factor model or event window. We obtain similar results when we include firm-by-year fixed effects.

6.2 Sensitivity to seed sentences

A common concern with NLP-based approaches in finance and business—particularly those relying on dictionaries or seed phrases—is that the selection of words or seed sentences is inherently subjective. As a result, empirical findings may be sensitive to researcher choices and to the specific set of seeds used to construct the measure.

To address this concern, we construct an alternative set of seed sentences for each charismatic tactic, ensuring no overlap in transcripts, years, or industries relative to the original seeds.[11] We then reconstruct the charisma measure using this entirely independent set of seeds.

The Spearman rank correlation between the original and alternative charisma measures is 0.834 ($p < 0.001$), indicating a strong association between the two. This high correlation suggests that the measure is not driven by idiosyncratic features of the initial seed set, but instead captures stable rhetorical patterns across contexts.

Consistent with this interpretation, Table 7 shows that our main results remain unchanged when using the alternative measure. In particular, the positive market reaction to charisma in the presentation section and the negative effect in the Q&A section persists.

[Insert Table 7 about here]

Overall, these findings provide strong evidence that our results are not driven by the specific sentences used in the original seed construction. The high correlation between the two measures, combined with the stability of the main empirical results, suggests that the

[11] These alternative seed sentences are reported in Appendix Table A2.

measure captures a robust underlying rhetorical dimension. Importantly, because the alternative seed set is constructed from entirely different transcripts, time periods, and industries, it is unlikely that the results are driven by any particular semantic content, topic, or contextual feature embedded in the original seeds. For such an alternative explanation to hold, one would need to assume that different sets of seed sentences inadvertently capture the same confounding textual feature and that this feature has a similar effect across specifications—an implausible scenario. Taken together, these results reinforce that our findings reflect the impact of charismatic rhetorical structure rather than artifacts of seed selection or correlated textual characteristics.

6.3 Subsample analysis: Large versus small firms

We also examine whether our findings reflect a general feature of investor behavior or are instead driven by a particular subset of firms. A natural concern is that the documented effects may be concentrated among firms with more limited information environments, where investors rely more heavily on soft information. To proxy for such differences, we use S&P 500 membership, which captures firms that are larger, more visible, and subject to greater investor scrutiny, analyst coverage, and information production. In contrast, non-S&P 500 firms tend to face greater informational frictions. If charismatic communication operates primarily through such frictions, its effects may be confined to non-S&P 500 firms. We therefore examine whether the asymmetric relation between charisma and market reactions persists across these groups.

To do so, we first estimate our baseline specifications separately for S&P 500 firms and non-S&P 500 firms. Table 8, Columns (1) and (2), reports the results. Panel A presents estimates for the presentation segment, while Panel B presents the corresponding results for the Q&A segment. We find that the effects of charisma on market reactions are similar in sign and broadly comparable in magnitude across the two groups in both segments. Thus, the positive relation between presentation charisma and market reactions, and the negative relation for Q&A charisma, are both present among large, well-known firms as well as smaller firms.

Although the effects are present in both subsamples, these separate estimations do not allow us to determine whether they differ statistically across the two groups. To assess this directly, we estimate a pooled specification for all firms and interact charisma with an indicator for S&P 500 membership. The coefficient on the interaction term therefore captures the differential effect of charisma for S&P 500 firms relative to non-S&P 500 firms. These results are reported in Column (3) of Table 8. We find negative and statistically

significant interaction coefficients in both panels. In the presentation segment, this implies that charismatic communication is rewarded less strongly for S&P 500 firms than for non-S&P 500 firms. In the Q&A segment, where the baseline effect is negative, the negative interaction implies that S&P 500 firms are penalized more strongly when managers use charismatic tactics.

[Insert Table 8 about here]

These differential effects admit more than one interpretation. One possibility is that investors in large, well-followed firms place less weight on rhetorical delivery in prepared remarks because the information environment is richer and less reliant on soft cues. Under this view, presentation charisma has less incremental persuasive value for S&P 500 firms. At the same time, because these firms are more closely scrutinized and investor expectations for precision may be higher, charismatic rhetoric in the Q&A may be more readily interpreted as evasive or insufficiently informative, leading to a stronger negative reaction. An alternative interpretation is that the market holds managers of large, prominent firms to a higher communication standard more generally: rhetorical style may add less in favorable settings and be penalized more in settings where directness is especially valued. While we cannot fully distinguish between these mechanisms, both are consistent with stronger discipline of rhetorical style in firms with richer information environments.

Overall, these results show that our main findings are not confined to smaller or less-followed firms. The asymmetric effects of charisma appear in both S&P 500 and non-S&P 500 firms, indicating that they reflect a broad feature of how investors interpret rhetorical style. At the same time, the stronger negative interaction for S&P 500 firms suggests that richer information environments do not eliminate the importance of charismatic communication; if anything, they may sharpen investors' sensitivity to when rhetoric is viewed as complementing information versus substituting for it.

6.4 Tactic-level decomposition

Charisma is inherently a multidimensional construct that is expressed through a range of rhetorical tactics, including the use of metaphor, contrast, storytelling, and expressions of confidence. While each tactic captures a distinct aspect of charismatic communication, no single dimension fully represents the underlying construct. Moreover, each individual tactic is measured with considerable noise, as its manifestation depends on context, wording, and local discourse structure. As a result, isolating the effect of any single tactic is likely to suffer from attenuation due to measurement error. Aggregating across tactics mitigates this

concern by averaging out idiosyncratic noise and increasing the signal-to-noise ratio, thereby providing a more reliable proxy for overall charisma.

In addition, the individual tactics are moderately correlated, suggesting that they reflect a shared underlying component. This collinearity further limits the ability to separately identify the effect of each tactic, as coefficient estimates become unstable and sensitive to specification. Focusing on a composite index therefore allows us to capture the common variation across tactics while avoiding multicollinearity concerns. This approach is consistent with the broader literature on latent constructs, where multiple imperfect indicators are combined to capture an unobservable attribute (Bollen, 1989), as well as with empirical work in finance that relies on composite indices to measure complex organizational features such as corporate governance (Gompers et al., 2003) and corporate culture (Li et al., 2020). In addition, charismatic communication is best understood as a bundle of complementary behaviors rather than a set of independent rhetorical devices, further motivating the use of an aggregate measure.

With this caveat in mind, we also examine the effects of individual tactics. In the presentation segment, we find that three-part lists (triads) and expressions of collective sentiment are most strongly positively associated with market reactions. In contrast, in the Q&A segment, expressions of confidence in goal attainment and the use of contrasts are most strongly negatively associated with market reactions. These results are not tabulated.

As noted above, these patterns should be interpreted with caution, as the estimates for individual tactics are inherently noisier and reflect only partial manifestations of the broader charisma construct.

7 Conclusion

This paper studies the role of charismatic communication in capital markets. Using a novel, theory-grounded measure of rhetorical style applied to more than 120,000 earnings calls, we show that the effect of charisma on investor reactions depends critically on the context in which it is expressed.

Our central finding is a striking asymmetry: charisma is positively associated with market reactions when used in prepared presentations, but negatively associated when used in the interactive Q&A segment. This pattern persists after controlling for firm characteristics and textual features, and is robust across alternative specifications, measurement approaches, and subsamples.

We interpret these results as evidence that investors do not evaluate rhetorical style in isolation, but in conjunction with the informational demands of the setting. In pre-

pared remarks, charismatic delivery may enhance narrative coherence and facilitate belief formation. In contrast, in the Q&A segment—where investors expect direct and precise answers—charismatic rhetoric may be perceived as a substitute for substantive information, leading to skepticism and a negative response.

More broadly, our findings highlight that the economic value of managerial communication is endogenous to context. The same stylistic feature can be rewarded or penalized depending on whether it aligns with investor expectations about information provision. This insight has implications for both managers and researchers. For managers, it suggests that effective communication requires adapting rhetorical style to the setting and informational environment. For researchers, it underscores the importance of distinguishing between different contexts when studying the effects of communication or disclosure in financial markets.

Finally, our approach opens several avenues for future research. Understanding how different audiences interpret rhetorical signals, how communication styles evolve over time, and how they interact with firm fundamentals and information asymmetry remain important questions. More generally, integrating insights from organizational behavior and leadership into finance offers a promising direction for advancing our understanding of how soft information is generated, transmitted, and priced in financial markets.

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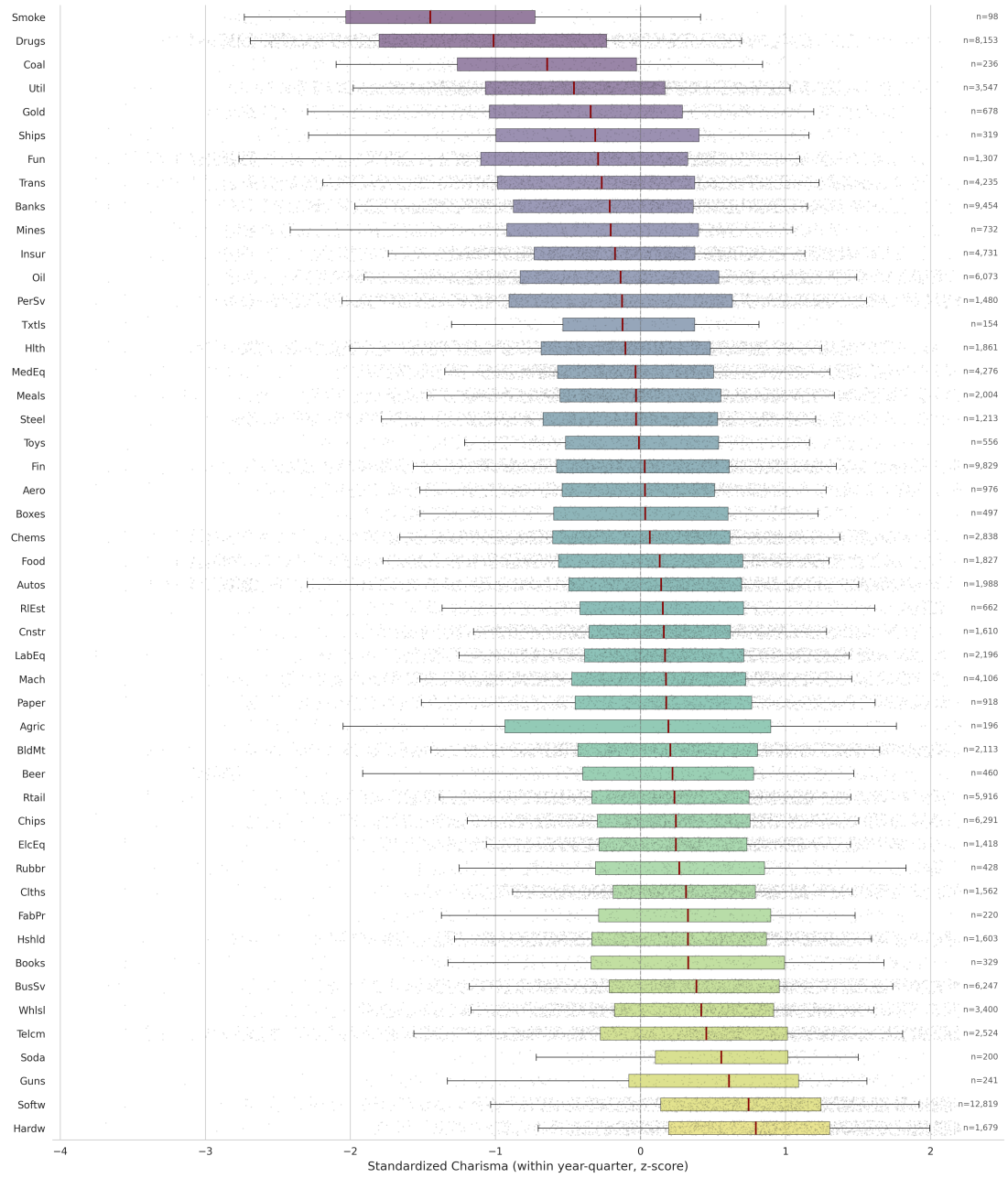


Figure 1: Within-Industry Distribution of Charisma (Presentation).

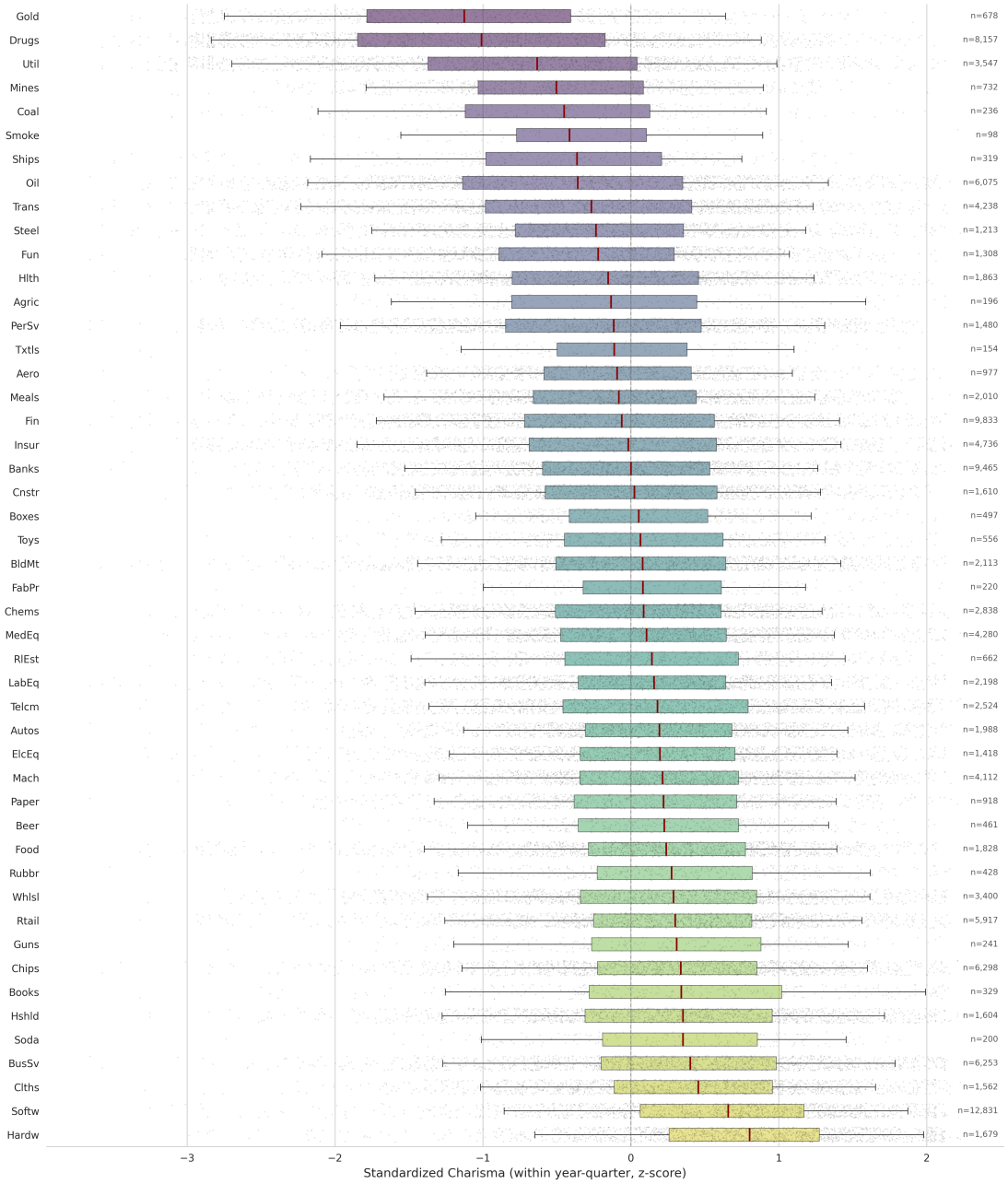


Figure 2: Within-Industry Distribution of Charisma (Q&A).

Tables and Figures

Table 1: Summary Statistics

	Mean	SD	Min	P25	Median	P75	Max	N
Panel A: Presentation								
Charisma (Presentation)	-0.01	1	-3.75	-0.62	0.07	0.69	2.21	121,326
Sentiment	31.30	14.17	-43.28	22	31.94	41.33	83.05	121,326
Uncertainty	0.86	0.37	0	0.62	0.82	1.05	5.18	121,326
Fog	13.76	1.56	4.37	12.75	13.78	14.79	21.83	121,326
Length	7.94	0.45	2.40	7.72	7.99	8.22	10.52	121,326
Panel B: Q&A								
Charisma (Q&A)	0	1	-3.66	-0.61	0.08	0.69	2.23	121,326
Sentiment	17.41	10.03	-40	10.50	16.90	23.86	100	121,326
Uncertainty	0.78	0.32	0	0.55	0.74	0.96	5.42	121,326
Fog	11.46	1.41	3.73	10.50	11.35	12.29	28.70	121,326
Length	7.96	0.54	3.89	7.67	8.05	8.34	10.54	121,326
Non-Answer	0.14	0.04	0	0.11	0.14	0.16	0.69	121,326
Panel C: Firm-Level Variables								
Firm Size	7.98	1.60	4.61	6.81	7.83	8.98	15.07	121,326
Book-to-Market	0.52	0.42	0	0.23	0.42	0.71	8.39	121,326
Momentum	0.16	0.57	-1	-0.10	0.09	0.31	28.77	121,326
Earnings Surprise	0.74	2.63	-10	-0.33	0.60	1.71	10	121,326
C4-CAR [-1, 1]	0	0.09	-0.88	-0.04	0	0.04	2.41	121,326

Note: This table reports descriptive statistics for the main variables used in the analysis, organized in three panels. Panel A reports variables for the Presentation segment of the earnings call, Panel B for the Q&A segment, and Panel C for firm-level controls and the dependent variable. Charisma is computed from management presentation segment and standardized to zero mean and unit variance within each year-quarter; all other continuous variables are reported in raw form. Charisma in Panels A and B uses the Presentation- and Q&A-segment embedding similarity scores, respectively. Sentiment is the difference between FinBERT positive and negative sentence rates (Huang et al., 2023); Uncertainty is the proportion of uncertainty words from the Loughran-McDonald dictionary (Loughran and McDonald, 2011); Fog is the Gunning Fog index, measuring linguistic complexity (Li, 2008; Loughran and McDonald, 2014); Length is the natural logarithm of the word count. Non-Answer (Panel B only) is the weighted evasion score (Barth et al., 2023) computed on the Q&A segment. In Panel C, Firm Size is the natural logarithm of market capitalization; Book-to-Market is book equity divided by market equity (negative book equity observations excluded); Momentum is the cumulative return over months $t-12$ to $t-2$; Earnings Surprise is the standardized difference between actual and consensus forecast earnings; C4-CAR $[-1,1]$ is the three-day cumulative abnormal return computed against the Carhart four-factor model. All continuous variables are winsorized at the 1st and 99th percentiles within each year-quarter. The sample spans 2010–2024.

Table 2: Correlation Matrix

Panel A: Presentation-based textual variables and firm variables

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
(1) Charisma (Presentation)	1.00									
(2) Sentiment	0.44	1.00								
(3) Fog	0.24	0.20	1.00							
(4) Uncertainty	-0.12	-0.24	0.14	1.00						
(5) Length	0.26	0.12	0.23	-0.19	1.00					
(6) Firm Size	0.11	0.19	0.01	-0.12	0.18	1.00				
(7) Book-to-Market	-0.07	-0.22	-0.03	0.06	-0.03	-0.26	1.00			
(8) Momentum	0.02	0.17	-0.03	-0.01	-0.03	0.09	-0.25	1.00		
(9) Earnings Surprise	0.10	0.21	-0.02	-0.03	0.00	0.12	-0.07	0.08	1.00	
(10) C4-CAR [-1, 1]	0.05	0.17	-0.03	-0.02	-0.03	-0.01	0.02	-0.03	0.28	1.00

Panel B: Q&A-based textual variables and firm variables

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
(1) Charisma (Q&A)	1.00										
(2) Sentiment	0.45	1.00									
(3) Fog	0.39	0.25	1.00								
(4) Uncertainty	-0.24	-0.36	-0.04	1.00							
(5) Length	0.25	0.07	0.02	-0.08	1.00						
(6) Non-Answer	-0.05	-0.11	-0.26	0.08	-0.01	1.00					
(7) Firm Size	0.15	0.13	-0.04	-0.10	0.44	0.02	1.00				
(8) Book-to-Market	-0.08	-0.21	-0.05	0.16	-0.16	0.02	-0.26	1.00			
(9) Momentum	-0.00	0.10	-0.01	-0.00	-0.00	-0.03	0.09	-0.25	1.00		
(10) Earnings Surprise	0.08	0.14	0.00	-0.03	0.03	0.01	0.12	-0.07	0.08	1.00	
(11) C4-CAR [-1, 1]	0.03	0.14	-0.01	-0.01	-0.02	-0.01	-0.01	0.02	-0.03	0.28	1.00

Panel C: Cross-segment textual correlations (rows: Presentation segment; columns: Q&A segment)

	Charisma	Sentiment	Fog	Uncertainty	Length
Charisma	0.52	0.29	0.09	-0.19	0.12
Sentiment	0.30	0.49	0.07	-0.21	0.12
Fog	0.12	0.13	0.37	-0.05	0.03
Uncertainty	-0.08	-0.14	0.03	0.21	-0.04
Length	0.14	0.10	0.09	-0.10	0.12

Note: This table reports pairwise Pearson correlations for the main variables. Panel A presents correlations between textual variables from the presentation section and firm-level variables. Panel B reports the corresponding correlations when textual variables are constructed from the Q&A section. Panel C presents correlations between textual variables measured from the presentation and Q&A sections (rows: Presentation segment; columns: Q&A segment). Charisma is computed from management presentation segment. All continuous variables are winsorized at the 1st and 99th percentiles and standardized within each year-quarter (correlations are scale-invariant; standardization is for downstream regression compatibility). The sample spans 2010–2024.

Table 3: Determinants of Charisma

Panel A: Presentation

	Charisma (Presentation)			
	(1)	(2)	(3)	(4)
Sentiment	13.09***	12.70***	12.74***	2.83***
	(0.57)	(0.58)	(0.59)	(0.23)
Fog	3.33***	3.56***	3.58***	3.22***
	(0.62)	(0.63)	(0.64)	(0.34)
Uncertainty	-3.67***	-3.57***	-3.57***	0.02
	(0.44)	(0.44)	(0.45)	(0.17)
Length	6.27***	4.80***	4.83***	0.16
	(0.64)	(0.70)	(0.71)	(0.27)
Firm Size		3.83***	3.81***	0.60
		(0.88)	(0.89)	(2.21)
Book-to-Market		1.60**	1.58**	1.21
		(0.74)	(0.75)	(0.75)
Momentum		0.72*	0.73*	-0.10
		(0.41)	(0.44)	(0.28)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	6.94%	7.22%	7.24%	0.77%

Panel B: Q&A

	Charisma (Q&A)			
	(1)	(2)	(3)	(4)
Sentiment	19.37***	19.32***	19.36***	11.84***
	(0.44)	(0.44)	(0.45)	(0.30)
Fog	23.57***	23.64***	23.62***	26.43***
	(0.53)	(0.54)	(0.54)	(0.43)
Uncertainty	-5.32***	-5.21***	-5.26***	-1.50***
	(0.31)	(0.31)	(0.31)	(0.24)
Length	13.83***	12.78***	12.77***	10.73***
	(0.43)	(0.45)	(0.46)	(0.34)
Non-Answer	3.82***	3.71***	3.74***	2.32***
	(0.32)	(0.32)	(0.33)	(0.25)
Firm Size		3.10***	3.10***	-2.72
		(0.53)	(0.54)	(2.05)
Book-to-Market		2.28***	2.29***	0.39
		(0.49)	(0.49)	(0.85)
Momentum		-0.90***	-0.89***	-0.30
		(0.28)	(0.29)	(0.28)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	36.28%	36.53%	36.70%	23.38%

Note: This table reports OLS regressions of Charisma on textual and firm-level determinants. The dependent variable is the standardized Charisma measure computed from management presentation segment. Column (1) includes textual controls only; column (2) adds firm controls; column (3) replaces industry × year with industry × quarter fixed effects; column (4) uses firm × year fixed effects. All variables are winsorized and standardized within each year-quarter. Textual controls explain substantial variation in Charisma, while firm characteristics add modest incremental explanatory power. t-statistics based on standard errors two-way clustered by firm and time are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table 4: Market Reaction to Charisma

Panel A: Presentation

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Presentation)	0.27***	0.19***	0.19***	0.74***
	(0.03)	(0.03)	(0.03)	(0.08)
Sentiment	1.43***	1.25***	1.26***	1.72***
	(0.05)	(0.05)	(0.05)	(0.08)
Fog	-0.39***	-0.36***	-0.36***	-0.41***
	(0.03)	(0.03)	(0.03)	(0.05)
Uncertainty	0.32***	0.24***	0.24***	0.06*
	(0.02)	(0.02)	(0.02)	(0.03)
Length	-0.23***	-0.07**	-0.07**	-0.25***
	(0.03)	(0.03)	(0.03)	(0.06)
Firm Size		-0.40***	-0.40***	-15.73***
		(0.04)	(0.04)	(1.07)
Book-to-Market		0.22***	0.21***	1.51***
		(0.04)	(0.04)	(0.23)
Momentum		-0.50***	-0.46***	-0.78***
		(0.04)	(0.05)	(0.11)
Earnings Surprise		2.28***	2.27***	2.43***
		(0.06)	(0.06)	(0.08)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	2.68%	10.46%	10.42%	18.52%

Panel B: Q&A

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Q&A)	-0.17***	-0.19***	-0.18***	-0.12*
	(0.04)	(0.04)	(0.04)	(0.06)
Sentiment	1.53***	1.34***	1.34***	1.77***
	(0.06)	(0.05)	(0.05)	(0.08)
Fog	-0.33***	-0.30***	-0.30***	-0.34***
	(0.04)	(0.04)	(0.04)	(0.06)
Uncertainty	0.29***	0.22***	0.22***	0.06*
	(0.02)	(0.02)	(0.02)	(0.03)
Length	-0.17***	-0.02	-0.03	-0.23***
	(0.03)	(0.03)	(0.03)	(0.06)
Non-Answer	-0.03	-0.07***	-0.07***	-0.06
	(0.03)	(0.03)	(0.03)	(0.04)
Firm Size		-0.38***	-0.37***	-15.72***
		(0.04)	(0.04)	(1.07)
Book-to-Market		0.23***	0.22***	1.52***
		(0.04)	(0.04)	(0.23)
Momentum		-0.50***	-0.47***	-0.79***
		(0.04)	(0.05)	(0.11)
Earnings Surprise		2.28***	2.28***	2.46***
		(0.06)	(0.06)	(0.08)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	2.62%	10.46%	10.41%	18.31%

Note: This table reports OLS regressions of three-day cumulative abnormal returns (CAR $[-1, +1]$) on Charisma and control variables. Panel A reports results for the Presenter segment (prepared remarks); Panel B reports results for the Q&A Answer segment. Abnormal returns are computed using the Carhart (1997) four-factor model with factor loadings estimated over the [-210, -30] trading day window. Column (1) includes textual controls only. Column (2) adds firm controls. Column (3) replaces industry × year with industry × quarter fixed effects. Column (4) uses firm × year fixed effects. All variables are winsorized and standardized within each year-quarter; coefficients represent the change in abnormal return per one-standard-deviation change in the independent variable. t-statistics based on standard errors two-way clustered by firm and time are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table 5: Heterogeneity in the Effects of Charisma

	C4-CAR [-1, 1]					
	Presentation			Q&A		
	(1)	(2)	(3)	(4)	(5)	(6)
Charisma	0.20***	0.28***	0.24***	-0.18***	-0.19***	-0.15***
	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
Charisma × Neg. Surprise	-0.18***			-0.19***		
	(0.03)			(0.03)		
Charisma × Fog		-0.02			-0.06***	
		(0.02)			(0.02)	
Charisma × FLS Intensity			-0.01			-0.09***
			(0.02)			(0.02)
Neg. Earnings Surprise	-2.29***			-2.29***		
	(0.06)			(0.06)		
Fog		-0.26***			-0.30***	
		(0.03)			(0.04)	
FLS Intensity			-0.31***			-0.30***
			(0.03)			(0.03)
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes	Yes	Yes	Yes
Fixed Effects	Industry × Year					
Observations	121,326	121,326	121,304	121,326	121,326	121,304
Adj. R^2	10.51%	10.58%	10.59%	10.51%	10.46%	10.59%

Note: This table reports OLS regressions of three-day cumulative abnormal returns (CAR $[-1, +1]$) on Charisma interacted with three key moderators. Columns (1)–(3) report results for the Presenter segment (prepared remarks); columns (4)–(6) report results for the Q&A Answer segment. Within each segment, column (1)/(4) interacts Charisma with Negative Earnings Surprise; column (2)/(5) with the Gunning Fog index (linguistic complexity); column (3)/(6) with forward-looking statement (FLS) intensity. Both constituent variables are included as separate regressors; the moderator variable is excluded from the control set in its own column to avoid collinearity. The Charisma measure is computed from both management presentation and Q&A segments. All variables are winsorized and standardized within each year-quarter. Abnormal returns are computed using the Carhart (1997) four-factor model with factor loadings estimated over the [-210, -30] trading day window. All specifications include industry × year fixed effects. t-statistics based on standard errors two-way clustered by firm and time are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table 6: Robustness: Alternative Asset Pricing Models

Panel A: Presentation

	[-1, 1]	[0, 1]	[0, 2]
FF3	0.19***	0.19***	0.21***
	(0.03)	(0.03)	(0.03)
FF5	0.19***	0.19***	0.21***
	(0.03)	(0.03)	(0.03)
Carhart	0.19***	0.19***	0.21***
	(0.03)	(0.03)	(0.03)
Firm Controls	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes
Fixed Effects	Industry × Year	Industry × Year	Industry × Year

Panel B: Q&A

	[-1, 1]	[0, 1]	[0, 2]
FF3	-0.18***	-0.18***	-0.16***
	(0.04)	(0.04)	(0.04)
FF5	-0.18***	-0.18***	-0.16***
	(0.04)	(0.04)	(0.04)
Carhart	-0.19***	-0.18***	-0.17***
	(0.04)	(0.04)	(0.04)
Firm Controls	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes
Fixed Effects	Industry × Year	Industry × Year	Industry × Year

Note: This table reports the Charisma coefficient from regressions of cumulative abnormal returns on Charisma with firm controls, textual controls, and industry × year fixed effects. Panel A reports results for the Presenter segment (prepared remarks); Panel B reports results for the Q&A Answer segment. Results are shown under three alternative asset pricing models: Fama-French three-factor (FF3), Fama-French five-factor (FF5), and Carhart four-factor. Each cell reports the coefficient on Charisma (top) and the standard error (bottom, in parentheses). Columns correspond to alternative event windows. Factor loadings are estimated over the [-210, -30] trading day window preceding each earnings call. Standard errors two-way clustered by firm and time. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table 7: Market Reaction to Charisma — Alternative Prototype Seed Sentences

Panel A: Presentation

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Presentation)	0.23***	0.13***	0.13***	0.49***
	(0.03)	(0.03)	(0.03)	(0.07)
Length	-0.23***	-0.07**	-0.07**	-0.24***
	(0.03)	(0.03)	(0.03)	(0.06)
Uncertainty	0.31***	0.24***	0.24***	0.06*
	(0.02)	(0.02)	(0.02)	(0.03)
Fog	-0.37***	-0.35***	-0.35***	-0.39***
	(0.03)	(0.03)	(0.03)	(0.05)
Sentiment	1.44***	1.26***	1.27***	1.73***
	(0.05)	(0.05)	(0.05)	(0.08)
Firm Size		-0.39***	-0.39***	-15.71***
		(0.04)	(0.04)	(1.07)
Book-to-Market		0.23***	0.22***	1.53***
		(0.04)	(0.04)	(0.23)
Momentum		-0.50***	-0.46***	-0.79***
		(0.04)	(0.05)	(0.11)
Earnings Surprise		2.28***	2.27***	2.44***
		(0.06)	(0.06)	(0.08)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	2.66%	10.44%	10.40%	18.44%

Panel B: Q&A

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Q&A)	-0.22***	-0.20***	-0.21***	-0.08*
	(0.03)	(0.04)	(0.04)	(0.05)
Length	-0.17***	-0.03	-0.03	-0.24***
	(0.03)	(0.03)	(0.03)	(0.06)
Uncertainty	0.29***	0.22***	0.22***	0.06*
	(0.02)	(0.02)	(0.02)	(0.03)
Non-Answer	-0.03	-0.07**	-0.07**	-0.06
	(0.03)	(0.03)	(0.03)	(0.04)
Fog	-0.34***	-0.32***	-0.33***	-0.37***
	(0.04)	(0.04)	(0.04)	(0.06)
Sentiment	1.56***	1.36***	1.36***	1.77***
	(0.05)	(0.05)	(0.05)	(0.08)
Firm Size		-0.37***	-0.37***	-15.72***
		(0.04)	(0.04)	(1.07)
Book-to-Market		0.23***	0.22***	1.52***
		(0.04)	(0.04)	(0.23)
Momentum		-0.51***	-0.47***	-0.79***
		(0.04)	(0.05)	(0.11)
Earnings Surprise		2.28***	2.28***	2.46***
		(0.06)	(0.06)	(0.08)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	2.64%	10.47%	10.43%	18.31%

Note: This table replicates the market-reaction specification of Table 4 using an alternative set of 63 prototype seed sentences drawn from companies, years, and industries that do not overlap with the original prototype set. The composite charisma score for each segment is constructed identically to the baseline measure (top-5% sentence aggregation, equal-weighted across the nine standardized CLT scores). Panel A reports results for the Presenter segment; Panel B reports results for the Q&A Answer segment. Column (1) includes textual controls only; Column (2) adds firm controls; Column (3) replaces industry × year with industry × quarter fixed effects; Column (4) uses firm × year fixed effects. The estimation sample (121,326 firm-quarters) is identical to that of Table 4, ensuring direct comparability of coefficients across the two prototype sets. Coefficients are multiplied by 100. Standard errors two-way clustered by firm and time, in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table 8: Subsample Analysis: S&P 500 vs. Non–S&P 500 Firms

Panel A: Presentation

	C4-CAR [-1, 1]		
	S&P 500	Non-S&P 500	S&P 500 Interaction
Charisma (Presentation)	0.17***	0.20***	0.22***
	(0.04)	(0.04)	(0.03)
S&P 500			-0.17**
			(0.08)
Charisma (Presentation) × S&P 500			-0.13**
			(0.06)
Firm Controls	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes
Fixed Effects	Industry × Year	Industry × Year	Industry × Year
Observations	24,085	97,241	121,326
Adj. R^2	9.52%	10.75%	10.47%

Panel B: Q&A

	C4-CAR [-1, 1]		
	S&P 500	Non-S&P 500	S&P 500 Interaction
Charisma (Q&A)	-0.18***	-0.20***	-0.17***
	(0.06)	(0.05)	(0.04)
S&P 500			-0.14*
			(0.08)
Charisma (Q&A) × S&P 500			-0.13**
			(0.05)
Firm Controls	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes
Fixed Effects	Industry × Year	Industry × Year	Industry × Year
Observations	24,085	97,241	121,326
Adj. R^2	9.50%	10.75%	10.46%

Note: This table examines whether the market reaction to Charisma varies with S&P 500 index membership. Columns (1) and (2) estimate the baseline specification separately on the S&P 500 and non-S&P 500 subsamples; column (3) pools both groups and adds an S&P 500 indicator together with its interaction with Charisma, so the interaction coefficient directly measures the differential slope for S&P 500 firms and serves as a formal test of whether the Charisma effect differs by index status. Panel A reports results for the Presenter segment (prepared remarks); Panel B reports results for the Q&A Answer segment. Abnormal returns are computed using the Carhart four-factor model. All specifications include firm controls, textual controls, and industry × year fixed effects. Coefficients are multiplied by 100. Standard errors two-way clustered by firm and time are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Appendix Tables

Table A1: Original Prototype Seed Sentences

#	Prototype Sentence
Panel A: Metaphors & Similes	
1	"So we're putting it together. We're kind of — I talked to somebody before, we're going to measure twice and cut once. We're figuring out exactly how we're going to go into this market."
2	"This quarter, I will try and put some context around where 2024 sits in the pantheon of previous upcycles, and then also frame out a little of what we are seeing in each of our regions as we go into 2025 and 2026."
3	"I believe that to drive the change in the health care space that people want and need, we must have a sense of urgency. This requires us to actually reimagine Johnson & Johnson as a 132-year-old startup, one that embraces and acts on the best ideas, that is nimble and fast, that leverages technology to drive life-changing and life-saving innovation and one that focuses on being competitive always via transformative products, quality services and transparent pricing, all with the consumer [. . .]"
4	"Think of the merchandise in a convenience store and the minimum required to be a relevant service adversity. We have robust historical data that shows us what basic services we need to cover for a particular market."
5	"If you think about the economy, the foundation of the economy is labor. Capital equipment is distilled labor."
6	"It will grow like kelp on shores basically."
7	"There's a horse in Redmond that always suits up and always runs, and will keep running."
Panel B: Stories & Anecdotes	
1	"In fact, when I first got involved in Groupon in 2022, Spain was the first market to start applying the marketplace playbook and has emerged as a positive story with strong double-digit growth. Spain is a great study for how our marketplace playbook works."
2	"The safety moment I've chosen this morning is about the second fatality, the one which occurred in the Zeeland Refinery in the Netherlands, of course, not to describe — just to describe what happened but most importantly, to share with you what we learned from this tragic event to improve our operations. On February 1, a contractor passed away while he was performing a catalyst unloading operation inside the reactor. His name was Torsten. He was 50 years old. Changing [. . .]"
3	"I actually took my kids to the H-E-B and Walmart in Texas to just confirm if it was real. Indeed, it was. And there's plenty of food and everything else but just nothing, no paper products."
4	"We set out 3 years ago, and this was a big structural change. We had never really thought about client market shares in our markets business. We had always thought about them in our investment banking business. And we really — we brought that ethos into the markets business. And I know everyone on this call has heard us talk about how 3 years ago, we set out to say there are 100 clients that contribute meaningfully to our FICC [. . .]"
5	"I recall a consultant telling me about 5 years ago that there was no point in Diagnostics being in China. Five years later, I'm glad we ignored that. It's a fantastic market for us. We fit well there. It's great growth and great profitability on top of it."
6	"Leading up to Black Friday, Shop Direct, the U.K.'s second largest online retailer, teased upcoming sales with a cinemagraph video to build awareness. They then retargeted people who saw the video with 1-day-only deals. On Black Friday, they used our Carousel and DPA ads to promote products people had shown interest in. They saw a 20x return on ad spend from this campaign, helping them achieve their biggest Black Friday and their most successful sales day ever."
7	"It turned out early in the quarter, some of the engineers in Japan noticed that it was really hard to read the creative because we actually had the ads URL, which was in Latin characters, mixed in with the ad creative which was in Kanji. And it didn't really take brilliant research to figure out that human perception gets really confused when characters switch like that in the middle of a sentence. People just sort of skip the whole sentence. [. . .]"
Panel C: Contrasts	
1	"So I would tell you that it complicates the deal process. A stable price helps the deal process, a volatile price doesn't."

Continued on next page

Table A1 — *continued*

#	Prototype Sentence
2	"Importantly, projects aren't being canceled, but the decision to procure vessels and other assets has been stalled as operators evaluate the outcome of recent successes and contend with lead time issues for critical offshore infrastructure and equipment."
3	"As you have heard me say before, while we are pleased with our recent performance, we are not satisfied."
4	"But now I believe the time has come where we must accept sacrificing some short-term performance for the long-term growth of the business as we modernize our tech stack."
5	"Many times, we've said prototypes are easy, but production is hard."
6	"So frankly, being safer than a human is a low standard, not a high standard."
7	"So when it comes to things like the overheads and things that they are not affecting directly the business results, we are very, very tough. And when it comes to areas that the investments can affect business results, we are creative and generous."
Panel D: Rhetorical Questions	
1	"You ask people to spend more money to get a car to have the same function, but I think, why should they spend more money? Tell me."
2	"So what happens if you don't actually have a labor shortage? I'm not sure what an economy even means at that point. That's what Optimus is about."
3	"Looking back in one person's judgment, were we wrong in taking that pricing? Absolutely not. And has it been effective in terms of shave — stabilizing our share position? Yes."
4	"I hear from the financial community, the other side, which is what are you doing with your money? Well, we have great opportunities, why wouldn't we jump on it with this kind of market?"
5	"The large investments that we brought online, and yet, we can — we're making money in bottom-of-cycle conditions. Why? Because they were advantaged and we wouldn't invest in those until we found a way to get them advantaged."
6	"I'm not in favor of government price controls as part of a market-based economy that we have. I just think that's bad as an initial thing, as an overall statement. We need free enterprise and government debt. What product is next, what industry comes next?"
7	"Can we get earnings growth in a low rate environment? The answer is yes. You're seeing earnings growth even without rise — a significant rise in rates, and now we look forward to those rise in rates."
Panel E: Three-Part Lists (Triads)	
1	"It makes the operation easier. It makes it easier for our customer. It makes it better for capital."
2	"Our track record of strong shareholder returns is also the result of our approach to managing for the long term. Our relentless drive for innovation, our disciplined portfolio management and our capital allocation strategy, all of which are regularly discussed as part of our ongoing strategic planning with our Board of Directors."
3	"our old tech platform, which is highly inefficient, unstable and extremely difficult to develop on."
4	"What we tend to find is the perks that do well for us are ones that are exclusive to us, ones that have maximum savings and then ones just have a very strong value prop for the customer."
5	"Going forward, we are committed to meeting the full potential of both the Medical Devices and Consumer businesses. Our track record of strong shareholder returns is also the result of our approach to managing for the long term. Our relentless drive for innovation, our disciplined portfolio management and our capital allocation strategy."
6	"As we work through these changes, we will focus on three things: Providing our customers with choices and education about their options; rewarding customers for doing more business with us; and finally, offering meaningful value at fair prices."
7	"Our investment strategy builds on long-term fundamentals, leverages our competitive advantages and delivers projects robust to down cycles."
Panel F: Moral Conviction	
1	"These 2 tragic events remind us that our first duty, of course, is to make sure that everyone returns home safe every day."

Continued on next page

Table A1 — *continued*

#	Prototype Sentence
2	"Further, we are committed to supplying more than 2 billion doses of our vaccine to low- and middle-income countries between this year and the next. This is a considerable commitment that is only possible due to the investment we have made with our partners over the past 12 months to continuously increase our joint manufacturing capacity, now being well over 3 billion doses per year."
3	"It remains our goal to deliver as many doses of our COVID-19 vaccine as possible to people around the world to help end this pandemic and facilitate the return to a normal life... We are serious about our responsibility to help combat COVID-19 globally and are committed to ensuring that low and middle-income countries, many of which are experiencing serious outbreaks, receive our vaccine. We anticipate that a significant amount of the remaining 2021 vaccine manufacturing capacity will be delivered [...]"
4	"Merely having stable governments is insufficient to catalyze the robust growth needed to alleviate poverty in Peru. We need our executive and legislative authorities to take bold steps forward in fostering growth and safeguarding democracy. This entails implementing structural reforms in education and health, and eliminating the bureaucratic barriers that hinder the execution of our mining and infrastructure projects. As leaders, it is our responsibility to advocate for policies that unlock our country's untapped potential and drive progress."
5	"And I'm equally pleased and proud to share that we celebrate the 75th anniversary of the Johnson & Johnson credo this year. Our credo dates back to 1943, authored by Robert Wood Johnson II, the son of one of the founding Johnson brothers, right before Johnson & Johnson became a public company. At that moment, J&J's moral compass as a company was formally documented, and that has sustained us for the last 75 years. Our credo is part of our [...]"
6	"We are also committed to responsible pricing. When we price a new medicine, we consider the value to patients and society, the importance of maintaining affordable access to medicines for people who need them and the importance of preserving our ability to develop future groundbreaking cures and treatments."
7	"Nevertheless, we remain committed to taking the time to ensure each airplane meets our rigorous engineering specifications. And although this work has a near-term impact for us, in terms of both schedule and cost, it is the right thing to do."
Panel G: Sentiments of the Collective	
1	"I want to express my sincere gratitude to our teams worldwide for their hard work and to our investors and partners for their unwavering support. Thank you for joining us on this journey."
2	"I would like to express to each and every of the Stellantis employees, my sincere and very warm consideration, my deep thanks for what they have done for the company. They have demonstrated that they are a great team. They are resilient. They are focused. They have a great business sense. And here we are to celebrate today the results they have achieved."
3	"I love Apple, and it's just a reminder everyday of how much of a privilege it is to work with a team of people that are so incredible, and how lucky I am."
4	"We feel deeply for the individuals that were impacted by these reductions. They are extremely dedicated and talented individuals, and we wish them the best."
5	"The recent S&P downgrade should serve as a wake-up call for us. [...] We need our executive and legislative authorities to take bold steps forward in fostering growth and safeguarding democracy. [...] As leaders, it is our responsibility to advocate for policies that unlock our country's untapped potential and drive progress."
6	"It's interesting that a decade goes by very fast when you work in a partnership as wonderful as this has been, and I'm quite sure that this partnership will continue. We're friends, we're co-workers, we're computer scientists, we have a common vision."
7	"I couldn't be prouder of or more grateful to the more than 325,000 women and men of this enterprise. They work each day under difficult conditions, with clinicians comprising well more than 1/3 of the total, to advance a high-performing health care system, one built on personal human connections; enabled through information and technology; and supported by strong alignment of physician-led, value-based delivery of care. They are another profound reason for our optimism."
Panel H: High & Ambitious Goals	
1	"We have 7 million perks in our business right now. That's going to double this time next year."

Continued on next page

Table A1 — *continued*

#	Prototype Sentence
2	"In integrated power business, the company is building a world-class cost competitive portfolio, combining renewable, so solar, offshore wind — offshore winds with flexible assets, CCGT and storage to deliver clean firm power to our customers. And as you know, with the objective to be positive net cash flow by 2028 with ROACE at 12%."
3	"In addition, we expect to file for the approval of 7 more products by 2021 for a total of 10 like we told you last May, each with more than $1 billion peak revenue potential."
4	"This year, we expect to hold our first test flight of Aquila, our first solar-powered aircraft designed to beam Internet into communities from the sky. And we're also working on new advances in lasers that can transfer large amounts of data faster and more efficiently than anything today."
5	"2021 will be one of our strongest years of growth, now expected to approach 900,000 more people served across individual and group Medicare Advantage and Dual Special Needs Plans. UnitedHealthcare will have grown to serve 3.5 million more seniors over 5 years."
6	"We will create a top 5 immunoscience and inflammation franchise with ORENCIA and Otezla and 2 near-term product launches. We will have the #1 oncology franchise with leadership in hematology and a pipeline that would sustain that leadership for the long term, along with a growing solid tumor franchise with OPDIVO and YERVOY. We are doubling our Phase I and II pipeline for many more possible new medicines, and we will gain platforms and capabilities important for scientific leadership in [. . .]"
7	"Additionally, we've committed that our commercial airplanes will be capable and certified to fly on 100% sustainable aviation fuels by 2030."
Panel I: Confidence in Goal Attainment	
1	"we expect that the balance of supply and demand will remain firmly in our favor for at least the next 3 years. As such, we anticipate that as we move through 2025 and into '26, leading-edge day rates will continue to increase from where we are today, and we will be well positioned to take advantage of that imbalance as the growth in activity level accelerates."
2	"Because our confidence in cash flows over the next 2 quarters remains strong, we are inclined to increase the rate of share repurchases."
3	"And I think we're completely confident at this point that it will be achieved."
4	"As we enter 2018, we are confident that our Pharmaceutical business will remain strong, and anticipate our Consumer and Medical Device segments will continue to improve, resulting in solid financial performance while delivering innovation that will have an enduring impact on patients, caregivers and consumers."
5	"And I truly believe that no company is better positioned to lead profound change during this dynamic era than Johnson & Johnson."
6	"With the evolving environment, we are more convinced than ever that our commitment to helping our customers succeed financially will create the best long term value for shareholders."
7	"What I can tell you though is that I'm very confident that we will take — we are taking and we will take the right actions to recover the margins of the business, whatever that looks like."

Note: This table lists the 63 original prototype seed sentences used to construct the embedding-based charisma measure (seven sentences per CLT, across nine CLTs). Each transcript's per-CLT score is computed as the average of the top 5% of sentence-to-mean-prototype cosine similarities within that CLT; the composite charisma measure is the equal-weighted mean of the nine standardized per-CLT scores. Sentences are drawn from earnings call transcripts and are curated to instantiate the CLT they represent. The alternative robustness set appears in Table A2.

Table A2: Alternative Prototype Seed Sentences (Robustness Check)

#	Prototype Sentence
Panel A: Metaphors & Similes	
1	"if we get 1% of offline, that's another PayPal."
2	"In the past, we used a stethoscope and listened. With Butterfly, we can see and know."
3	"And we feel like they're the varsity, and we don't want to give them up to some less-proven people."
4	"We expect this $10 million mark to be our 4-minute mile. We expect to break this $10 million mark again and again."
5	"So I think we've been looking at the region, not so much the country, for over a decade. And my view is that Sri Lanka can be to India, what Macau is to China."
6	"But really, what you get is a constant area where you can improve. I mean, it's like some type of sports team. You practice for a reason, you practice to get better."
7	"And then the longer pole in the tent was the technology-specific savings that are largely enabled by OneTru that will come a little bit later, but we're definitely tracking to that."
Panel B: Stories & Anecdotes	
1	"As many of you know, I started First Matador back in 1983 with $270,000. It's just hard to believe. I pinch myself when I say we're now approaching $4 billion in value, even though we sold First Matador and started over in 2003. So it's been quite a ride, very exciting, but we still think our best years are yet to come."
2	"No, appreciate it. And absolutely, there's a lot that we've learnt through this process. It's ironically the last conference — the last time I stayed in a hotel room was at your conference in Orlando just about a year ago now, coming up to a year ago. I'm hoping that the next one I attend with you will be end of the pandemic, since the last one was really the start of the pandemic, but we can remain hopeful in [. . .]"
3	"During the fourth quarter, we shipped an SRT System to Holy Name Hospital in Teaneck, New Jersey for the use of superficial radiation therapy treating the lungs of hospitalized COVID-19 patients. This hospital has been at the forefront of treating patients from the early days of the pandemic being situated adjacent to New York City, which was impacted early on. During the first quarter of 2021, Holy Name successfully treated its first patient with the patient leaving the ICU ward, [. . .]"
4	"I remember being at the forefront of the standard conversion on methanol way back when. I remember being in front of investors and being — it's never going to happen, it's never going to work. What are you guys doing? And then we decided, with our own ships, to prove out the technology, the dual-fuel capability and a lot of naysayers at that time. And it's going to be LNG, it's going to be scrubbers. Methanol's never going to find [. . .]"
5	"I started working with Kathleen when I was 23 years old and then just started my first company Hotwire. She was our outside counsel, and she quickly knocked our socks off. We knew that we had to have her join our team. We were fortunate to have her as our General Counsel at Hotwire, and a few years later, when she was negotiating the sale of Hotwire to Expedia, she got to know many of the people who would go [. . .]"
6	"It's worth noting this is the first LoJack has had a display in a booth in this show in over a decade, and the response to some of our new technology and partnerships was outstanding."
7	"During my tenure, I was part of an executive team that manages a 220% growth in revenues, from $70 million to $224 million, including the completion of 8 acquisitions and 4 divestitures."
Panel C: Contrasts	
1	"When the demand used to be split, it's no longer split. It's all mainly coming to us."
2	"Revenue growth was weaker than expected in the quarter, but the earnings power of our company has never been stronger."
3	"And, Mark, the — actually one of the thing I'd say on new users is while we're pleased with the acceleration, frankly, I'm not satisfied."
4	"Against this backdrop of increasing uncertainty for some of our competitors who are distracted by M&A activity, Everest provides stability and focus to the customer."

Continued on next page

Table A2 — *continued*

#	Prototype Sentence
5	"We already proved to the market that we can be fast, and at the same time, we can be patient. The markets wanted us to grow fast on distribution, and we wanted to be patient in that regard."
6	"And again, as I mentioned, the payout ratio of pretax has gone up a little bit from sort of our historical range of 50% to up to 58% this quarter. But also, our asset growth rate has come down."
7	"It's easy to get too encouraged. But 6 months ago, we were laying off people in our sheet metal shop. And today, we're hiring as fast as we can and looking at buying more laser torts and everything else."
Panel D: Rhetorical Questions	
1	"And why should the consumer have to pay twice what he's already paid for that he's using in the home?"
2	"Hey, if your people are your most important asset, why aren't you using the latest technology to help secure them?"
3	"Particularly our U.S. franchise. Let me make a clear point here. Very few European firms have been able to build the domestic business that we have. We are highly relevant to U.S. clients. We showed you some examples of some of the top benchmarked U.S. names now routinely using Deutsche Bank to issue equity, to advise them on mergers, to help them solve problems. 2012, the AIG selldown was the most covetous equity placement pretty much in our industry. Who [. . .]"
4	"It's all about demand. But where are they making their investments?"
5	"Now, do we have any pressure? Do we have — probably no pressure at all."
6	"I mean, we've talked about the last 2 quarters about the strong turnaround activity, but we're seeing some smaller capital projects also."
7	"How this doesn't just fly off the shelf I'm not sure because I believe we're doing a really good job separating ourselves from the rest of the group out there."
Panel E: Three-Part Lists (Triads)	
1	"how we sell; how we solution; how we deliver"
2	"So we're seeing very tight markets, very low inventories and demand improving."
3	"They need our help to retain not only their space, but their time, their money and their lives."
4	"We are incredibly proud of our team worldwide who have shown tremendous commitment and agility over this year."
5	"This acquisition strengthens Heartland's ability to provide our customers with one of the industry's largest set of effective, transparent and honest commerce solutions."
6	"We are leveraging our brand now and our dealer relationships, our licensee relationships, our excellent service reputation to accelerate the adoption of our telematics and inventory management products."
7	"So we feel great about its growth. Couple of dynamics. First, from a geographic standpoint, it's consistent across the globe. So in the Americas, in Europe and Asia, we're seeing kind of the same kind of trends"
Panel F: Moral Conviction	
1	"We are implementing plans to close engineering offices in Greenville, South Carolina and Melbourne, Australia by the end of 2015, and we'll be making additional management reductions in various locations. While we are looking at many growth opportunities and remain cautiously optimistic about potential new business, we believe these cost reduction steps, while hard, are necessary to improve future performance."
2	"Before I move off biosecurity, I do want to mention that, although I'm very proud of the commercial value biosecurity is creating for Ginkgo as a business, as we said before, one of our cultural tenets here is that we care how our platform is used. In other words, the technology we're developing here at Ginkgo, we wanted to have a positive impact in the world. And I think what we've been doing in K-12 schools is a great example [. . .]"
3	"And what's really weird is we give the soldiers, the 2.5 million soldiers out there, every level of capability you might ever imagine and there's a Lockheed and Northrop with General Dynamics to build them whatever they — a soldier needs in a theater of war. But on our own soil, we don't do that, and it's infuriating to me. Like you would never dare take a soldier out of combat, put them on some city street here and go, [. . .]"

Continued on next page

Table A2 — *continued*

#	Prototype Sentence
4	"This is definitely a hot button for me. Similar to the Department of Justice and Homeland Security, I've known federal jurisdiction over the law enforcement agencies and the security companies. The Department of Education, they all have obviously some relationship and what have you. But as a country, I don't think anyone on this call would ever dare raise their hand and say, yes, we pay our teachers properly and every school has all the supplies that they need. Like [. . .]"
5	"Our teams have continually adjusted how we work to keep each other safe while maintaining our operations and delivering reliable methanol supply to our customers."
6	"It breaks my heart every time I see something happening at schools, impacting families and children in our communities. So you're right on mission long Knightscope, short the criminals."
7	"I guess that's just the price that you pay for standing up for the rights of consumers. At DISH, we are fanatics when it comes to giving customers their video content, what they want, when they want it and where they want it."

Continued on next page

Table A2 — *continued*

#	Prototype Sentence
Panel G: Sentiments of the Collective	
1	"The entire MiX team has done an extraordinary job of building customer relationships, and I believe this effort will pay important dividends to our business for years to come."
2	"He has a unique blend of skills and experience that we believe positions him perfectly to lead this next chapter of City of Dreams, and I would like to welcome him to the Melco family."
3	"I worked with Kathleen for most of my professional life, and I'll very much miss her advice and friendship. I know I speak for the entire company when I say a heartfelt thank you, Kathleen. You will be missed."
4	"And finally, I want everyone to know how much I believe in this brand. I believe in the people I work alongside in serving the greater than 60 million guests we serve every year, and I believe in our ability to overcome this cycle that we're in."
5	"We are incredibly proud of our team worldwide who have shown tremendous commitment and agility over this year. Our teams have continually adjusted how we work to keep each other safe while maintaining our operations and delivering reliable methanol supply to our customers."
6	"We would like to thank Miguel Escobar and his team for their hard work in achieving this turnaround, and we share our employees' pride in this accomplishment. After 20 years with O-I, Miguel has decided to return to his native Colombia to pursue another opportunity. We thank him for his many contributions to O-I and wish him well."
7	"So with that, I'd like to turn it back and open the floor for questions. But one last, if I have not recognized one of the groups, I'd sure like you — make sure I do the universal shout-out, because it was really exciting the way that every group, from the field to the office and within the office, each department did its part in achieving these results."
Panel H: High & Ambitious Goals	
1	"We see an opportunity to expand our store footprint from 145 to over 500 locations over the next 10 years."
2	"We continue to close in on our goal of $1 billion in revenue and $150 million of adjusted EBITDA within 5 years of our IPO."
3	"We're looking forward to the installation of the next 500 units and do previously mentioned we feel we can install our next 500 units in half the time."
4	"I mean I look at this and say the number of Internet users globally is going to double in the next 3 to 5 years and there's no reason why our active users shouldn't double during that period."
5	"We now believe we will hit our target of $10 billion in revenues by 2024 or 1 year earlier and with higher profitability holding at least at our further raised fiscal year '21 operating margin."
6	"While custom spaces has traditionally accounted for approximately 40% of our sales, given current sales trends and identified opportunity, we believe we can grow this penetration to approximately 60% of sales over time."
7	"Our performance in FY '21, the product innovation we have introduced and will be introducing in the coming quarters and the growing strategic importance of Telematics makes us confident in our ability to grow subscription revenue 15% to 20% and deliver adjusted EBITDA margins of 30%-plus in a normalized economic environment."

Continued on next page

Table A2 — *continued*

#	Prototype Sentence
Panel I: Confidence in Goal Attainment	
1	"We're confident that we're in a good path to do so in China."
2	"We are increasingly confident in our outlook for 2012 and our 2013 plans."
3	"We are very optimistic, clearly and confident about the future of our business."
4	"We feel confident about our performance and are raising guidance for the full year."
5	"We're confident with our $150 million as we get out of 2015. We're confident of that $150 million EBITDA."
6	"We are confident we can return to our long-term financial targets and generate meaningful value for shareholders."
7	"We remain confident that our vision to organically build a world-class specialty diversified insurance organization is being realized."

Note: This table lists the 63 alternative prototype seed sentences used for the robustness check reported in Table 7. The sentences are drawn from companies, years, and industries that do not overlap with the original prototype set in Table A1; the scoring procedure is otherwise identical to the production measure (top-5% sentence-to-mean-prototype cosine similarities per CLT, equal-weighted across the nine standardized per-CLT scores).

Table A3: Minimal Pairs for Construct Validation of the Charisma Measure

#	With Device	Without Device	Δ
Panel A: Metaphors & Similes			
1	"Our supply chain has become the backbone of our competitive advantage, supporting every part of the organization."	"Our supply chain has become our most important competitive advantage, supporting every part of the organization."	+0.0007
2	"We see the regulatory landscape as a minefield that requires careful navigation and deep expertise."	"We see the regulatory landscape as a significant challenge that requires careful management and deep expertise."	+0.0051
3	"Our digital platform is the engine driving growth across all four business segments this year and well into the future."	"Our digital platform is the primary factor driving growth across all four business segments this year and well into the future."	+0.0075
4	"The acquisition pipeline is a fertile garden that we have been cultivating for three years."	"The acquisition pipeline has been carefully developed and managed over the past three years, positioning us well for growth."	+0.0161
5	"Our balance sheet is a fortress, giving us the flexibility to pursue any opportunity that arises."	"Our balance sheet is very strong, giving us the flexibility to pursue any opportunity that arises."	+0.0097
6	"We are planting seeds today in emerging markets that will bear fruit for decades to come."	"We are making investments today in emerging markets that will generate returns for decades to come."	+0.0270
7	"The talent war is intensifying, and we are winning it by offering careers, not just jobs."	"Competition for talent is intensifying, and we are succeeding by offering careers, not just jobs."	+0.0134
Panel B: Stories & Anecdotes			
1	"Last March, one of our field engineers in Brazil identified a flaw in a client's system during a routine visit, and within forty-eight hours our team had deployed a fix that saved that customer over two million dollars."	"Our field engineering team in Brazil identified and resolved a client system flaw within forty-eight hours, saving the customer over two million dollars."	+0.0038
2	"When I toured our new semiconductor facility in Dresden last October, the plant manager showed me a production line running at ninety-eight percent yield, something we thought would take two more years to achieve."	"Our new semiconductor facility in Dresden reached ninety-eight percent production yield ahead of our original two-year timeline."	-0.0035
3	"Three years ago, our head of R&D walked into my office and proposed we invest in solid-state battery technology. At the time it seemed premature, but today that bet is generating four hundred million in annual revenue."	"Our investment in solid-state battery technology three years ago now generates four hundred million in annual revenue."	+0.0216
4	"I remember sitting in a boardroom in Tokyo in 2022 when our Japan country manager told us we would never break five percent market share. This quarter, we crossed fifteen percent."	"Our Japan market share has grown from below five percent in 2022 to fifteen percent this quarter."	+0.0528
5	"During the chip shortage in early 2024, our procurement team flew to three countries in one week, negotiated directly with foundry executives, and secured enough supply to keep all of our production lines running without interruption."	"During the chip shortage in early 2024, our procurement team secured sufficient supply from multiple international foundries to maintain uninterrupted production."	+0.0318
6	"Just last month, a customer in our enterprise segment called our CEO directly to say that our platform had helped them reduce fraud losses by sixty percent in a single quarter, and that story is being repeated across our client base."	"Enterprise customers using our platform have reported fraud loss reductions of up to sixty percent within a single quarter."	+0.0358

Continued on next page

Table A3 — *continued*

#	With Device	Without Device	Δ
7	"When we acquired DataStream in 2023, many analysts questioned the three-billion-dollar price tag. Our integration team completed the migration six months early, and DataStream contributed eight hundred million in synergies last year alone."	"Our 2023 acquisition of DataStream for three billion dollars delivered eight hundred million in synergies last year, with integration completed ahead of schedule."	-0.0231
Panel C: Contrasts			
1	"While our competitors are retreating from international markets, we are accelerating our expansion into Southeast Asia and Latin America."	"We are accelerating our expansion into Southeast Asia and Latin America as other companies reduce their international presence."	+0.0023
2	"We did not achieve this margin improvement by cutting headcount, but by fundamentally redesigning our manufacturing processes."	"We achieved this margin improvement through a fundamental redesign of our manufacturing processes rather than headcount reductions."	-0.0004
3	"Despite a fourteen-percent decline in industry-wide advertising spending, our ad revenue grew nine percent year over year."	"Our ad revenue grew nine percent year over year in a market where industry-wide advertising spending declined fourteen percent."	+0.0066
4	"The old model was about selling hardware; the new model is about delivering outcomes as a service."	"We have transitioned our business from selling hardware to delivering outcomes as a recurring service model."	-0.0334
5	"In cloud, we are not a fast follower but a category creator, and our first-mover advantage is widening every quarter."	"In cloud, we created the category and our early-mover advantage continues to widen every quarter."	+0.0114
6	"Short-term costs will rise by approximately two hundred million, but the long-term savings will exceed one billion annually within five years."	"Short-term costs of approximately two hundred million will generate long-term savings exceeding one billion annually within five years."	+0.0020
7	"Where others see a downturn, we see a once-in-a-decade opportunity to acquire undervalued assets and gain market share."	"The current downturn presents a once-in-a-decade opportunity for us to acquire undervalued assets and gain market share."	+0.0032
Panel D: Rhetorical Questions			
1	"Can any other company in our industry match this combination of organic growth and margin expansion? The answer is no, and our results speak for themselves."	"No other company in our industry can match this combination of organic growth and margin expansion, and our results speak for themselves."	+0.0282
2	"What better proof of our platform's value could there be than a ninety-seven percent customer retention rate?"	"Our ninety-seven percent customer retention rate is strong proof of the value our platform delivers to enterprise clients."	+0.0022
3	"Why would we slow down investment in AI when our early investments are already generating three hundred million in incremental revenue?"	"We will not slow down investment in AI because our early investments are already generating three hundred million in incremental revenue."	+0.0071
4	"Who would have predicted five years ago that our healthcare division would become the largest contributor to operating profit? That is the power of strategic foresight."	"Five years ago, few would have predicted that our healthcare division would become the largest contributor to operating profit. That is the result of strategic foresight."	+0.0031
5	"If not now, when? The market conditions are ideal, our balance sheet is strong, and we have the management team to execute."	"The timing is right. The market conditions are ideal, our balance sheet is strong, and we have the management team to execute."	+0.0091
6	"How many companies can claim twelve consecutive quarters of double-digit earnings growth? We can, and we intend to keep that streak going."	"Very few companies can claim twelve consecutive quarters of double-digit earnings growth. We can, and we intend to keep that streak going."	-0.0055

Continued on next page

Table A3 — *continued*

#	With Device	Without Device	Δ
7	"Is there a better time to invest in renewable energy infrastructure than when government incentives are at an all-time high? We believe the answer is clear."	"Government incentives for renewable energy are at an all-time high, making this an excellent time to invest in renewable energy infrastructure."	+0.0436
Panel E: Three-Part Lists (Triads)			
1	"Our long-term growth strategy rests on three pillars: geographic expansion, product diversification, and operational leverage."	"Our growth strategy rests on geographic expansion and product diversification as well as operational leverage."	+0.0236
2	"This quarter we grew revenue, expanded margins, and returned four billion dollars to shareholders through buybacks and dividends."	"This quarter we grew revenue and expanded margins while also returning four billion dollars to shareholders."	+0.0031
3	"We need to be faster, smarter, and more disciplined than every competitor in this space."	"We need to be faster and smarter as well as more disciplined than every competitor in this space."	+0.0057
4	"Our customers consistently choose us over the competition for three reasons: reliability, transparency, and value."	"Our customers choose us for our reliability along with our transparency and our strong value proposition."	+0.0346
5	"Through this restructuring, we will reduce complexity, lower costs, and improve the customer experience across all channels."	"We will reduce complexity and lower costs through this restructuring, which will also improve the customer experience."	+0.0007
6	"The Asia-Pacific region delivered strong year-over-year performance across three key verticals: automotive, healthcare, and industrial automation."	"The Asia-Pacific region delivered strong year-over-year performance in automotive and healthcare along with industrial automation."	+0.0089
7	"We are hiring aggressively in engineering, data science, and cybersecurity to support our technology roadmap."	"We are hiring aggressively in engineering and data science as well as cybersecurity to support our technology roadmap."	+0.0053
Panel F: Moral Conviction			
1	"We have a moral obligation to ensure that our AI systems are developed responsibly and never cause harm to the communities we serve."	"We are committed to developing our AI systems responsibly and minimizing any adverse impact on the communities we serve."	+0.0036
2	"It is simply wrong to prioritize short-term profits over the long-term health of the planet, and we refuse to do so."	"We prioritize the long-term environmental sustainability of our operations over short-term profit maximization in all of our strategic decisions."	-0.0364
3	"We owe it to the next generation to leave behind a cleaner, safer supply chain, and that duty guides every sourcing decision we make."	"We aim to build a cleaner, safer supply chain for the long term, and that objective guides every sourcing decision we make."	+0.0172
4	"Paying our suppliers fairly and on time is not just good business practice; it is the right thing to do."	"Paying our suppliers fairly and on time is a key part of maintaining strong business relationships."	+0.0043
5	"We believe every employee deserves a living wage, and we will not compromise on that principle regardless of market conditions."	"We provide competitive wages to all employees and plan to maintain our compensation levels regardless of market conditions."	-0.0082
6	"Transparency with our investors is a sacred trust, and we will always report our numbers honestly, even when the news is difficult."	"We are committed to transparent reporting with our investors and will accurately report our numbers in all circumstances."	+0.0066
7	"We have a duty of care to the communities where we operate, and closing a plant without investing in transition support would be unconscionable."	"We support the communities where we operate by investing in transition programs whenever we close a plant."	+0.0247
Panel G: Sentiments of the Collective			

Continued on next page

Table A3 — *continued*

#	With Device	Without Device	Δ
1	"I could not be more proud of how our people came together during the hurricane response, showing the world what this company truly stands for."	"Our employees responded effectively to the hurricane, and our response demonstrated the company's operational capabilities."	+0.0586
2	"Every single person in this organization, from our factory floors to our executive offices, played a part in delivering these record results."	"Employees at all levels of the organization contributed to delivering these record results through consistent execution."	+0.0172
3	"What makes this company special is not our technology alone but the extraordinary spirit of collaboration that our people bring to work every day."	"Our competitive advantage comes from both our technology and the effective collaboration among our employees."	+0.0262
4	"Together, we weathered the most challenging supply chain environment in a generation, and we emerged stronger because of the resilience of our teams."	"We managed through the most challenging supply chain environment in a generation and maintained strong operational performance."	+0.0301
5	"On behalf of the entire leadership team, I want to thank our associates for their passion, their commitment, and the personal sacrifices they have made this year."	"The leadership team acknowledges the strong performance and extra effort of our associates this year."	+0.0233
6	"When I travel to our sites around the world, the energy and pride I see in our teams reminds me why I love leading this company."	"Our teams at sites around the world consistently demonstrate high levels of engagement and strong work performance."	+0.0218
7	"This milestone belongs to every one of our forty thousand employees who believed in our mission and gave their best to make it a reality."	"This milestone was achieved by our forty thousand employees through their consistent efforts over the past several years."	+0.0250
Panel H: High & Ambitious Goals			
1	"We are targeting fifty percent market share in electric vehicles by 2030, up from twelve percent today."	"We expect to continue growing our electric vehicle market share over the coming years from the current twelve percent."	+0.0077
2	"Our goal is to reach one billion users on our platform within the next three years, tripling our current user base."	"We plan to continue growing our platform user base significantly over the next several years."	+0.0062
3	"We will achieve net-zero carbon emissions across all operations by 2028, five years ahead of the industry standard."	"We are working to reduce our carbon emissions substantially over the coming years, ahead of industry timelines."	+0.0315
4	"By the end of fiscal 2027, we will have generated twenty-five billion dollars in cumulative free cash flow, enabling a transformative return of capital."	"We expect strong free cash flow generation over the next several years, which will support ongoing capital returns to shareholders."	+0.0164
5	"We intend to launch operations in thirty new countries within twenty-four months, the most ambitious geographic expansion in our history."	"We intend to expand our geographic footprint significantly over the next couple of years through entry into additional countries."	+0.0028
6	"Our R&D organization will file five hundred patents this year, more than double any competitor in our industry."	"Our R&D organization continues to file a significant number of patents, maintaining a strong position relative to competitors."	+0.0509
7	"We have set a target of forty percent operating margin by 2029, up from twenty-six percent today, which would place us at the top of our peer group."	"We aim to improve our operating margin meaningfully from the current twenty-six percent over the coming years."	+0.0100
Panel I: Confidence in Goal Attainment			
1	"I am absolutely confident that our subscription business will surpass ten billion dollars in annual recurring revenue by the end of next year."	"We expect our subscription business to reach approximately ten billion dollars in annual recurring revenue by the end of next year."	+0.0301

Continued on next page

Table A3 — *continued*

#	With Device	Without Device	Δ
2	"I have no doubt whatsoever that our restructuring program will deliver the cost savings we have outlined to the market."	"We expect our restructuring program to deliver the cost savings we have outlined to the market."	+0.0417
3	"We are firmly convinced that our pipeline of new drugs will produce at least three blockbuster approvals within the next two years."	"We expect our pipeline of new drugs to produce several significant approvals within the next two years."	+0.0396
4	"I can assure you with complete confidence that we will meet or exceed our full-year guidance on both revenue and earnings per share."	"We expect to meet our full-year guidance on both revenue and earnings per share based on current trends."	+0.0387
5	"We are more certain than ever that our data center capacity expansion will be fully utilized by the second half of next year."	"We anticipate that our data center capacity expansion will be well utilized by the second half of next year."	+0.0336
6	"I personally guarantee that our service levels will not be disrupted during the technology migration, and I stake my reputation on that commitment."	"We plan to maintain our service levels throughout the technology migration and have allocated resources to ensure continuity."	+0.0268
7	"I am deeply assured that the strategic investments we made this year will generate industry-leading returns within the next eighteen months."	"We expect the strategic investments we made this year to generate strong returns within the next eighteen months."	+0.0240

Note: This table reports the full set of 63 minimal sentence pairs used in the construct validation of the charisma measure, organized by Charismatic Leadership Tactic (CLT). For each pair, the 'with device' sentence realizes the CLT and the 'without device' sentence paraphrases the same business content while removing the structural feature associated with the CLT. The Δ column is the paired max-similarity score of the 'with device' sentence minus that of the 'without device' sentence, both scored against the A2 (domain-instructed) prototype set under the plain-text embedding convention used in the production scoring pipeline.

Table A4: Charisma by Industry

	N	Mean (Presentation)	Mean (Q&A)
Tobacco Products	96	-1.33	-0.37
Pharmaceutical Products	7,528	-0.99	-0.98
Coal	218	-0.67	-0.49
Entertainment	1,247	-0.47	-0.33
Utilities	3,384	-0.46	-0.69
Precious Metals	658	-0.41	-1.08
Shipbuilding & Railroad	303	-0.38	-0.46
Non-Metallic Mining	703	-0.36	-0.47
Transportation	3,996	-0.36	-0.33
Banking	9,029	-0.30	-0.05
Insurance	4,527	-0.23	-0.09
Healthcare	1,721	-0.19	-0.18
Personal Services	1,397	-0.18	-0.22
Petroleum & Natural Gas	5,754	-0.17	-0.39
Textiles	143	-0.15	-0.09
Steel Works	1,169	-0.13	-0.24
Chemicals	2,738	-0.05	0.01
Restaurants & Hotels	1,867	-0.04	-0.12
Aircraft	956	-0.04	-0.10
Shipping Containers	456	-0.03	0.06
Medical Equipment	3,961	-0.03	0.07
Recreation	512	-0.03	0.04
Automobiles & Trucks	1,897	-0.03	0.18
Trading	9,424	-0.03	-0.11
Food Products	1,752	-0.01	0.17
Agriculture	185	-0.00	-0.16
Machinery	3,922	0.08	0.17
Beer & Liquor	438	0.11	0.17
Construction	1,507	0.12	-0.03
Business Supplies	883	0.13	0.14
Real Estate	614	0.14	0.10
Measuring Equipment	2,064	0.14	0.11
Construction Materials	2,011	0.14	0.03
Retail	5,562	0.15	0.23
Other	2,579	0.18	0.12
Electrical Equipment	1,355	0.20	0.16
Electronic Equipment	5,912	0.20	0.28
Rubber & Plastic Products	418	0.22	0.26
Consumer Goods	1,509	0.23	0.28
Fabricated Products	217	0.24	0.11
Printing & Publishing	313	0.26	0.37
Apparel	1,506	0.29	0.39
Communication	2,396	0.31	0.14
Business Services	5,870	0.33	0.34
Wholesale	3,248	0.34	0.23
Defense	231	0.41	0.28
Candy & Soda	187	0.53	0.29
Computer Software	11,374	0.62	0.58
Computer Hardware	1,589	0.71	0.73
Total	**121,326**	**-0.01**	**-0.00**

Note: This table reports the mean of the Charisma measure by industry, based on the Fama-French 49-industry classification. Charisma is computed separately for the management presentation segment and the Q&A (answer) segment of earnings calls. Industries are sorted in ascending order based on their mean Charisma in the presentation segment.

Table A5: Market Reaction to Charisma: Joint Estimation of Presentation and Q&A Measures

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Presentation)	0.15***	0.12***	0.10***	0.44***
	(0.04)	(0.04)	(0.04)	(0.06)
Charisma (Q&A)	-0.34***	-0.33***	-0.32***	-0.23***
	(0.04)	(0.04)	(0.04)	(0.06)
Sentiment (Pres.)	1.33***	1.11***	1.13***	2.09***
	(0.05)	(0.04)	(0.04)	(0.11)
Sentiment (Q&A)	1.00***	0.95***	0.95***	1.35***
	(0.05)	(0.04)	(0.04)	(0.07)
Uncertainty (Pres.)	0.21***	0.15***	0.15***	-0.00
	(0.04)	(0.04)	(0.04)	(0.07)
Uncertainty (Q&A)	0.26***	0.21***	0.21***	0.06*
	(0.02)	(0.02)	(0.02)	(0.03)
Fog (Pres.)	-0.55***	-0.47***	-0.47***	-0.73***
	(0.03)	(0.03)	(0.03)	(0.09)
Fog (Q&A)	-0.03	-0.06	-0.07*	-0.20***
	(0.04)	(0.04)	(0.04)	(0.06)
Length (Pres.)	-0.23***	-0.19***	-0.19***	-0.31***
	(0.03)	(0.03)	(0.03)	(0.07)
Length (Q&A)	-0.22***	-0.03	-0.04	-0.18***
	(0.03)	(0.03)	(0.03)	(0.06)
Non-Answer (Q&A)	-0.03	-0.07***	-0.07***	-0.05
	(0.03)	(0.03)	(0.03)	(0.04)
Firm Size		-0.39***	-0.39***	-16.28***
		(0.05)	(0.05)	(1.06)
Book-to-Market		0.36***	0.35***	1.63***
		(0.04)	(0.04)	(0.23)
Momentum		-0.63***	-0.60***	-0.88***
		(0.05)	(0.05)	(0.11)
Earnings Surprise		2.12***	2.12***	2.14***
		(0.06)	(0.06)	(0.07)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	4.69%	11.81%	11.80%	20.65%

Note: This table reports a joint OLS regression of three-day cumulative abnormal returns (CAR $[-1, +1]$) on both charisma measures entered *simultaneously*. In contrast to Table 4, which estimates the presentation and Q&A segments in separate panels, here Charisma (Presentation) and Charisma (Q&A) appear together in a single specification, each accompanied by its own-segment textual controls (labelled (Pres.) and (Q&A)). Abnormal returns are computed using the Carhart (1997) four-factor model with factor loadings estimated over the $[-210, -30]$ trading-day window. Column (1) includes textual controls only; column (2) adds firm controls; column (3) replaces industry × year with industry × quarter fixed effects; column (4) uses firm × year fixed effects. All variables are winsorized and standardized within each year-quarter; coefficients are multiplied by 100 and represent the change in abnormal return per one-standard-deviation change in the independent variable. Standard errors two-way clustered by firm and time are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

Table A6: Exclusion of *Non-Answer* Variable

Panel A: What correlates with charisma? (Q&A)

	Charisma (Q&A)			
	(1)	(2)	(3)	(4)
Sentiment	0.19***	0.19***	0.19***	0.12***
	(0.00)	(0.00)	(0.00)	(0.00)
Fog	0.23***	0.23***	0.23***	0.26***
	(0.01)	(0.01)	(0.01)	(0.00)
Uncertainty	-0.05***	-0.05***	-0.05***	-0.01***
	(0.00)	(0.00)	(0.00)	(0.00)
Length	0.14***	0.13***	0.13***	0.11***
	(0.00)	(0.00)	(0.00)	(0.00)
Firm Size		0.03***	0.03***	-0.03
		(0.01)	(0.01)	(0.02)
Book-to-Market		0.02***	0.02***	0.00
		(0.00)	(0.00)	(0.01)
Momentum		-0.01***	-0.01***	-0.00
		(0.00)	(0.00)	(0.00)
Adj. R^2	35.92%	36.20%	36.36%	23.22%

Panel B: Market Reaction to Charisma (Q&A)

	C4-CAR [-1, 1]			
	(1)	(2)	(3)	(4)
Charisma (Q&A)	-0.17***	-0.19***	-0.19***	-0.12**
	(0.04)	(0.04)	(0.04)	(0.06)
Sentiment	1.54***	1.35***	1.35***	1.77***
	(0.06)	(0.05)	(0.05)	(0.08)
Fog	-0.32***	-0.28***	-0.29***	-0.33***
	(0.04)	(0.04)	(0.04)	(0.06)
Uncertainty	0.29***	0.21***	0.22***	0.06*
	(0.02)	(0.02)	(0.02)	(0.04)
Length	-0.17***	-0.02	-0.02	-0.22***
	(0.03)	(0.03)	(0.03)	(0.06)
Firm Size		-0.38***	-0.38***	-15.72***
		(0.04)	(0.04)	(1.07)
Book-to-Market		0.23***	0.22***	1.52***
		(0.04)	(0.04)	(0.23)
Momentum		-0.50***	-0.46***	-0.79***
		(0.04)	(0.05)	(0.11)
Earnings Surprise		2.28***	2.28***	2.46***
		(0.06)	(0.06)	(0.08)
Fixed Effects	Industry × Year	Industry × Year	Industry × Quarter	Firm × Year
Observations	121,326	121,326	121,326	121,326
Adj. R^2	2.61%	10.45%	10.40%	18.31%

Note: This table re-estimates the Q&A specifications reported in Panel B of Tables 3 and 4, excluding the *Non-Answer* variable from the set of controls. All other control variables, fixed-effects specifications, and column definitions remain identical to those in Tables 3 and 4. Standard errors are two-way clustered by firm and time and are reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Table A7: Heterogeneity in the Effects of Charisma (Industry × Quarter FE)

	C4-CAR [-1, 1]					
	Presentation			Q&A		
	(1)	(2)	(3)	(4)	(5)	(6)
Charisma	0.19***	0.28***	0.23***	-0.17***	-0.18***	-0.15***
	(0.03)	(0.03)	(0.03)	(0.04)	(0.04)	(0.04)
Charisma × Neg. Surprise	-0.18***			-0.18***		
	(0.03)			(0.03)		
Charisma × Fog		-0.02			-0.06***	
		(0.02)			(0.02)	
Charisma × FLS Intensity			-0.01			-0.09***
			(0.02)			(0.02)
Neg. Earnings Surprise	-2.28***			-2.29***		
	(0.06)			(0.06)		
Fog		-0.27***			-0.30***	
		(0.04)			(0.04)	
FLS Intensity			-0.31***			-0.29***
			(0.03)			(0.03)
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes	Yes	Yes	Yes
Fixed Effects			Industry × Quarter			
Observations	121,326	121,326	121,304	121,326	121,326	121,304
Adj. R^2	10.46%	10.53%	10.54%	10.46%	10.42%	10.53%

Note: This table replicates the results in Table 5, replacing industry × year fixed effects with industry × quarter fixed effects as a robustness check. Standard errors are two-way clustered by firm and time and are reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Table A8: Heterogeneity in the Effects of Charisma (Firm + Year FE)

	C4-CAR [-1, 1]					
	Presentation			Q&A		
	(1)	(2)	(3)	(4)	(5)	(6)
Charisma	0.46***	0.57***	0.49***	-0.17***	-0.18***	-0.13***
	(0.04)	(0.04)	(0.04)	(0.04)	(0.04)	(0.04)
Charisma × Neg. Surprise	-0.20***			-0.21***		
	(0.04)			(0.03)		
Charisma × Fog		0.01			-0.04*	
		(0.03)			(0.02)	
Charisma × FLS Intensity			-0.00			-0.06***
			(0.03)			(0.02)
Neg. Earnings Surprise	-2.40***			-2.41***		
	(0.06)			(0.06)		
Fog		-0.32***			-0.30***	
		(0.04)			(0.05)	
FLS Intensity			-0.36***			-0.33***
			(0.04)			(0.03)
Firm Controls	Yes	Yes	Yes	Yes	Yes	Yes
Text Controls	Yes	Yes	Yes	Yes	Yes	Yes
Fixed Effects	Firm + Year					
Observations	121,326	121,326	121,304	121,326	121,326	121,304
Adj. R^2	12.32%	12.38%	12.35%	12.21%	12.15%	12.25%

Note: This table replicates the results in Table 5, replacing industry × year fixed effects with firm × year fixed effects as a robustness check. Standard errors are two-way clustered by firm and time and are reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.